

Collective Impact

By John Kania & Mark Kramer

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LARGE-SCALE SOCIAL CHANGE REQUIRES BROAD CROSS-SECTOR COORDINATION, YET THE SOCIAL SECTOR REMAINS FOCUSED ON THE ISOLATED INTERVENTION OF INDIVIDUAL ORGANIZATIONS.

BY JOHN KANIA & MARK KRAMER

Illustration by Martin Jarrie

The scale and complexity of the U.S. public education system has thwarted attempted reforms for decades. Major funders, such as the Annenberg Foundation, Ford Foundation, and Pew Charitable Trusts have abandoned many of their efforts in frustration after acknowledging their lack of progress. Once the global leader—after World War II the United States had the highest high school graduation rate in the world—the country now ranks 18th among the top 24 industrialized nations, with more than 1 million secondary school students dropping out every year. The heroic efforts of countless teachers, administrators, and nonprofits, together with billions of dollars in charitable contributions, may have led to important improvements in individual schools and classrooms, yet system-wide progress has seemed virtually unobtainable.

Against these daunting odds, a remarkable exception seems to be emerging in Cincinnati. Strive, a nonprofit subsidiary of KnowledgeWorks, has brought together local leaders to tackle the student achievement crisis and improve education throughout greater Cincinnati and northern Kentucky. In the four years since the group was launched, Strive partners have improved student success in dozens of key areas across three large public school districts. Despite the recession and budget cuts, 34 of the 53 success indicators that Strive tracks have shown positive trends, including high school graduation rates, fourth-grade reading and math scores, and the number of preschool children prepared for kindergarten.

Why has Strive made progress when so many other efforts have failed? It is because a core group of community leaders decided to abandon their individual agendas in favor of a collective approach to improving student achievement. More than

300 leaders of local organizations agreed to participate, including the heads of influential private and corporate foundations, city government officials, school district representatives, the presidents of eight universities and community colleges, and the executive directors of hundreds of education-related nonprofit and advocacy groups.

These leaders realized that fixing one point on the educational continuum—such as better after-school programs—wouldn't make much difference unless all parts of the continuum im-

proved at the same time. No single organization, however innovative or powerful, could accomplish this alone. Instead, their ambitious mission became to coordinate improvements at every stage of a young person's life, from "cradle to career."

Strive didn't try to create a new educational program or attempt to convince donors to spend more money. Instead,

through a carefully structured process, Strive focused the entire educational community on a single set of goals, measured in the same way. Participating organizations are grouped into 15 different Student Success Networks (SSNs) by type of activity, such as early childhood education or tutoring. Each SSN has been meeting with coaches and facilitators for two hours every two weeks for the past three years, developing shared performance indicators, discussing their progress, and most important, learning from each other and aligning their efforts to support each other.

Strive, both the organization and the process it helps facilitate, is an example of *collective impact*, the commitment of a group of important actors from different sectors to a common agenda for solving a specific social problem. Collaboration is nothing new. The social sector is filled with examples of partnerships, networks, and other types of joint efforts. But collective impact initiatives are distinctly different. Unlike most



collaborations, collective impact initiatives involve a centralized infrastructure, a dedicated staff, and a structured process that leads to a common agenda, shared measurement, continuous communication, and mutually reinforcing activities among all participants. (See “Types of Collaborations” on page 39.)

Although rare, other successful examples of collective impact are addressing social issues that, like education, require many different players to change their behavior in order to solve a complex problem. In 1993, Marjorie Mayfield Jackson helped found the Elizabeth River Project with a mission of cleaning up the Elizabeth River in southeastern Virginia, which for decades had been a dumping ground for industrial waste. They engaged more than 100 stakeholders, including the city governments of Chesapeake, Norfolk, Portsmouth, and Virginia Beach, Va., the Virginia Department of Environmental Quality, the U.S. Environmental Protection Agency (EPA), the U.S. Navy, and dozens of local businesses, schools, community groups, environmental organizations, and universities, in developing an 18-point plan to restore the watershed. Fifteen years later, more than 1,000 acres of watershed land have been conserved or restored, pollution has been reduced by more than 215 million pounds, concentrations of the most severe carcinogen have been cut sixfold, and water quality has significantly improved. Much remains to be done before the river is fully restored, but already 27 species of fish and oysters are thriving in the restored wetlands, and bald eagles have returned to nest on the shores.

Or consider Shape up Somerville, a citywide effort to reduce and prevent childhood obesity in elementary school children in Somerville, Mass. Led by Christina Economos, an associate professor at Tufts University’s Gerald J. and Dorothy R. Friedman School of Nutrition Science and Policy, and funded by the Centers for Disease Control and Prevention, the Robert Wood Johnson Foundation, Blue Cross Blue Shield of Massachusetts, and United Way of Massachusetts Bay and Merrimack Valley, the program engaged government officials, educators, businesses, nonprofits, and citizens in collectively defining wellness and weight gain prevention practices. Schools agreed to offer healthier foods, teach nutrition, and promote physical activity. Local restaurants received a certification if they served low-fat, high nutritional food. The city organized a farmers’ market and provided healthy lifestyle incentives such as reduced-price gym memberships for city employees. Even sidewalks were modified and crosswalks repainted to encourage more children to walk to school. The result was a statistically significant decrease in body mass index among the community’s young children between 2002 and 2005.

Even companies are beginning to explore collective impact to tackle social problems. Mars, a manufacturer of chocolate brands such as M&M’s, Snickers, and Dove, is working with NGOs, local governments, and even direct competitors to improve the lives of more than 500,000 impoverished cocoa farmers in Cote d’Ivoire, where Mars sources a large portion of its cocoa. Research suggests

that better farming practices and improved plant stocks could triple the yield per hectare, dramatically increasing farmer incomes and improving the sustainability of Mars’s supply chain. To accomplish this, Mars must enlist the coordinated efforts of multiple organizations: the Cote d’Ivoire government needs to provide more agricultural extension workers, the World Bank needs to finance new roads, and bilateral donors need to support NGOs in improving health care, nutrition, and education in cocoa growing communities. And Mars must find ways to work with its direct competitors on pre-competitive issues to reach farmers outside its supply chain.

These varied examples all have a common theme: that large-scale social change comes from better cross-sector coordination rather than from the isolated intervention of individual organizations. Evidence of the effectiveness of this approach is still limited, but these examples suggest that substantially greater progress could be made in alleviating many of our most serious and complex social problems if nonprofits, governments, businesses, and the public were brought together around a common agenda to create collective impact. It doesn’t happen often, not because it is impossible, but because it is so rarely attempted. Funders and nonprofits alike overlook the potential for collective impact because they are used to focusing on independent action as the primary vehicle for social change.

ISOLATED IMPACT

Most funders, faced with the task of choosing a few grantees from many applicants, try to ascertain which organizations make the greatest contribution toward solving a social problem. Grantees, in turn, compete to be chosen by emphasizing how their individual activities produce the greatest effect. Each organization is judged on its own potential to achieve impact, independent of the numerous other organizations that may also influence the issue. And when a grantee is asked to evaluate the impact of its work, every attempt is made to isolate that grantee’s individual influence from all other variables.

In short, the nonprofit sector most frequently operates using an approach that we call *isolated impact*. It is an approach oriented toward finding and funding a solution embodied within a single organization, combined with the hope that the most effective organizations will grow or replicate to extend their impact more widely. Funders search for more effective interventions as if there were a cure for failing schools that only needs to be discovered, in the way that medical cures are discovered in laboratories. As a result of this process, nearly 1.4 million nonprofits try to invent independent solutions to major social problems, often working at odds with each other and exponentially increasing the perceived resources required to make meaningful progress. Recent trends have only reinforced this perspective. The growing interest in venture philanthropy and social entrepreneurship, for example, has greatly benefited the social sector by identifying and accelerating the growth of many high-performing nonprofits, yet it has also accentuated an emphasis on scaling up a few select organizations as the key to social progress.

Despite the dominance of this approach, there is scant evidence that isolated initiatives are the best way to solve many social problems in today’s complex and interdependent world. No single organization is responsible for any major social problem, nor can any single

JOHN KANIA is a managing director at FSG, where he oversees the firm’s consulting practice. Before joining FSG, he was a consultant at Mercer Management Consulting and Corporate Decisions Inc. This is Kania’s third article for the *Stanford Social Innovation Review*.

MARK KRAMER is the co-founder and a managing director of FSG. He is also the co-founder and the initial board chair of the Center for Effective Philanthropy, and a senior fellow at Harvard University’s John F. Kennedy School of Government. This is Kramer’s fifth article for the *Stanford Social Innovation Review*.

TYPES OF COLLABORATIONS

Organizations have attempted to solve social problems by collaboration for decades without producing many results. The vast majority of these efforts lack the elements of success that enable collective impact initiatives to achieve a sustained alignment of efforts.

Funder Collaboratives are groups of funders interested in supporting the same issue who pool their resources. Generally, participants do not adopt an overarching evidence-based plan of action or a shared measurement system, nor do they engage in differentiated activities beyond check writing or engage stakeholders from other sectors.

Public-Private Partnerships are partnerships formed between government and private sector organizations to deliver specific services or benefits. They are often targeted narrowly, such as developing a particular drug to fight a single disease, and usually don't engage the full set of stakeholders that affect the issue, such as the potential drug's distribution system.

Multi-Stakeholder Initiatives are voluntary activities by stakeholders from different sectors around a common theme. Typically, these initiatives lack any shared measurement of impact and the supporting infrastructure to forge any true alignment of efforts or accountability for results.

Social Sector Networks are groups of individuals or organizations fluidly connected through purposeful relationships, whether formal or informal. Collaboration is generally ad hoc, and most often the emphasis is placed on information sharing and targeted short-term actions, rather than a sustained and structured initiative.

Collective Impact Initiatives are long-term commitments by a group of important actors from different sectors to a common agenda for solving a specific social problem. Their actions are supported by a shared measurement system, mutually reinforcing activities, and ongoing communication, and are staffed by an independent backbone organization.

organization cure it. In the field of education, even the most highly respected nonprofits—such as the Harlem Children's Zone, Teach for America, and the Knowledge Is Power Program (KIPP)—have taken decades to reach tens of thousands of children, a remarkable achievement that deserves praise, but one that is three orders of magnitude short of the tens of millions of U.S. children that need help.

The problem with relying on the isolated impact of individual organizations is further compounded by the isolation of the nonprofit sector. Social problems arise from the interplay of governmental and commercial activities, not only from the behavior of social sector organizations. As a result, complex problems can be solved only by cross-sector coalitions that engage those outside the nonprofit sector.

We don't want to imply that all social problems require collective impact. In fact, some problems are best solved by individual organizations. In "Leading Boldly," an article we wrote with Ron Heifetz for the winter 2004 issue of the *Stanford Social Innovation Review*, we described the difference between *technical problems* and *adaptive problems*. Some social problems are technical in that the problem is well defined, the answer is known in advance, and one or a few organizations have the ability to implement the solution. Examples include funding college scholarships, building a hospital, or installing inventory controls in a food bank. Adaptive problems, by contrast, are complex, the answer is not known, and even if it were, no single entity has the resources or authority to bring about the necessary change. Reforming public education, restoring wetland environments, and improving community health are all adaptive problems. In these cases, reaching an effective solution requires learning by the stakeholders involved in the problem, who must then change their own behavior in order to create a solution.

Shifting from isolated impact to collective impact is not merely a matter of encouraging more collaboration or public-private partnerships. It requires a systemic approach to social impact that focuses on the relationships between organizations and the progress toward shared objectives. And it requires the creation of a new set of nonprofit management organizations that have the skills and resources to assemble and coordinate the specific elements necessary for collective action to succeed.

THE FIVE CONDITIONS OF COLLECTIVE SUCCESS

Our research shows that successful collective impact initiatives typically have five conditions that together produce true alignment and lead to powerful results: a common agenda, shared measurement systems, mutually reinforcing activities, continuous communication, and backbone support organizations.

Common Agenda | Collective impact requires all participants to have a shared

vision for change, one that includes a common understanding of the problem and a joint approach to solving it through agreed upon actions. Take a close look at any group of funders and nonprofits that believe they are working on the same social issue, and you quickly find that it is often not the same issue at all. Each organization often has a slightly different definition of the problem and the ultimate goal. These differences are easily ignored when organizations work independently on isolated initiatives, yet these differences splinter the efforts and undermine the impact of the field as a whole. Collective impact requires that these differences be discussed and resolved. Every participant need not agree with every other participant on all dimensions of the problem. In fact, disagreements continue to divide participants in all of our examples of collective impact. All participants must agree, however, on the primary goals for the collective impact initiative as a whole. The Elizabeth River Project, for example, had to find common ground among the different objectives of corporations, governments, community groups, and local citizens in order to establish workable cross-sector initiatives.

Funders can play an important role in getting organizations to act in concert. In the case of Strive, rather than fueling hundreds of strategies and nonprofits, many funders have aligned to support Strive's central goals. The Greater Cincinnati Foundation realigned its education goals to be more compatible with Strive, adopting Strive's annual report card as the foundation's own measures for progress in education. Every time an organization applied to Duke Energy for a grant, Duke asked, "Are you part of the [Strive] network?" And when a new funder, the Carol Ann and Ralph V. Haile Jr./U.S. Bank Foundation, expressed interest in education, they were encouraged by virtually every major education leader in Cincinnati to join Strive if they wanted to have an impact in local education.¹

Shared Measurement Systems | Developing a shared measurement system is essential to collective impact. Agreement on a common agenda is illusory without agreement on the ways success will be measured and reported. Collecting data and measuring results consistently on a short list of indicators at the community level and across all participating organizations not only ensures that all efforts remain aligned, it also enables the participants to hold each other accountable and learn from each other's successes and failures.

It may seem impossible to evaluate hundreds of different organizations on the same set of measures. Yet recent advances in Web-based technologies have enabled common systems for reporting performance and measuring outcomes. These systems increase efficiency and reduce cost. They can also improve the quality and credibility of the data collected, increase effectiveness by enabling grantees to learn from each other's performance, and document the progress of the field as a whole.²

All of the preschool programs in Strive, for example, have agreed to measure their results on the same criteria and use only evidence-based decision making. Each type of activity requires a different set of measures, but all organizations engaged in the same type of activity report on the same measures. Looking at results across multiple organizations enables the participants to spot patterns, find solutions, and implement them rapidly. The preschool programs discovered that children regress during the summer break before kindergarten. By launching an innovative "summer bridge" session, a technique more often used in middle school, and implementing it simultaneously in all preschool programs, they increased the average kindergarten readiness scores throughout the region by an average of 10 percent in a single year.³

Mutually Reinforcing Activities | Collective impact initiatives depend on a diverse group of stakeholders working together, not by requiring that all participants do the same thing, but by encouraging each participant to undertake the specific set of activities at which it excels in a way that supports and is coordinated with the actions of others.

The power of collective action comes not from the sheer number of participants or the uniformity of their efforts, but from the coordination of their differentiated activities through a mutually reinforcing plan of action. Each stakeholder's efforts must fit into an overarching plan if their combined efforts are to succeed. The multiple causes of social problems, and the components of their solutions, are interdependent. They cannot be addressed by uncoordinated actions among isolated organizations.

All participants in the Elizabeth River Project, for example, agreed on the 18-point watershed restoration plan, but each is playing a different role based on its particular capabilities. One group of organizations works on creating grassroots support and engagement among citizens, a second provides peer review and recruitment for industrial participants who voluntarily reduce pollution, and a third coordinates and reviews scientific research.

The 15 SSNs in Strive each undertake different types of activities at different stages of the educational continuum. Strive does not prescribe what practices each of the 300 participating organizations should pursue. Each organization and network is free to chart its own course consistent with the common agenda, and informed by the shared measurement of results.

Continuous Communication | Developing trust among nonprofits, corporations, and government agencies is a monumental challenge. Participants need several years of regular meetings to build up enough experience with each other to recognize and appreciate the common motivation behind their different efforts. They need time to see that their own interests will be treated fairly, and that decisions will be made on the basis of objective evidence and the best possible solution to the problem, not to favor the priorities of one organization over another.

Even the process of creating a common vocabulary takes time, and it is an essential prerequisite to developing shared measurement systems. All the collective impact initiatives we have studied held monthly or even biweekly in-person meetings among the organizations' CEO-level leaders. Skipping meetings or sending lower-level delegates was not acceptable. Most of the meetings were supported by external facilitators and followed a structured agenda.

The Strive networks, for example, have been meeting regularly for more than three years. Communication happens between meetings too: Strive uses Web-based tools, such as Google Groups, to keep communication flowing among and within the networks. At first, many of the leaders showed up because they hoped that their participation would bring their organizations additional funding, but they soon learned that was not the meetings' purpose. What they discovered instead were the rewards of learning and solving problems together with others who shared their same deep knowledge and passion about the issue.

Backbone Support Organizations | Creating and managing collective impact requires a separate organization and staff with a very specific set of skills to serve as the backbone for the entire initiative. Coordination takes time, and none of the participating organizations has any to spare. The expectation that collaboration can occur without a supporting infrastructure is one of the most frequent reasons why it fails.

The backbone organization requires a dedicated staff separate from the participating organizations who can plan, manage, and support the initiative through ongoing facilitation, technology and communications support, data collection and reporting, and handling the myriad logistical and administrative details needed for the initiative to function smoothly. Strive has simplified the initial staffing requirements for a backbone organization to three roles: project manager, data manager, and facilitator.

Collective impact also requires a highly structured process that leads to effective decision making. In the case of Strive, staff worked with General Electric (GE) to adapt for the social sector the Six Sigma process that GE uses for its own continuous quality improvement. The Strive Six Sigma process includes training, tools, and resources that each SSN uses to define its common agenda, shared measures, and plan of action, supported by Strive facilitators to guide the process.

In the best of circumstances, these backbone organizations embody the principles of adaptive leadership: the ability to focus people's attention and create a sense of urgency, the skill to apply pressure to stakeholders without overwhelming them, the competence to frame issues in a way that presents opportunities as well as difficulties, and the strength to mediate conflict among stakeholders.

FUNDING COLLECTIVE IMPACT

Creating a successful collective impact initiative requires a significant financial investment: the time participating organizations must dedicate to the work, the development and monitoring of shared measurement systems, and the staff of the backbone organization needed to lead and support the initiative's ongoing work.

As successful as Strive has been, it has struggled to raise money, confronting funders' reluctance to pay for infrastructure and preference for short-term solutions. Collective impact requires instead that funders support a long-term process of social change without identifying any particular solution in advance. They must be willing to let grantees steer the work and have the patience to stay with an initiative for years, recognizing that social change can come from the gradual improvement of an entire system over time, not just from a single breakthrough by an individual organization.

This requires a fundamental change in how funders see their role, from funding organizations to leading a long-term process of social change. It is no longer enough to fund an innovative solution created by a single nonprofit or to build that organization's capacity. Instead, funders must help create and sustain the collective processes, measurement reporting systems, and community leadership that enable cross-sector coalitions to arise and thrive.

This is a shift that we foreshadowed in both "Leading Boldly" and our more recent article, "Catalytic Philanthropy," in the fall 2009 issue of the *Stanford Social Innovation Review*. In the former, we suggested that the most powerful role for funders to play in addressing adaptive problems is to focus attention on the issue and help to create a process that mobilizes the organizations involved to find a solution themselves. In "Catalytic Philanthropy," we wrote: "Mobilizing and coordinating stakeholders is far messier and slower work than funding a compelling grant request from a single organization. Systemic change, however, ultimately depends on a sustained campaign to increase the capacity and coordination of an entire field." We recommended that funders who want to create large-scale change follow four practices: take responsibility for assembling the elements of a solution; create a movement for change; include solutions from outside the nonprofit sector; and use actionable knowledge to influence behavior and improve performance.

These same four principles are embodied in collective impact initiatives. The organizers of Strive abandoned the conventional approach of funding specific programs at education nonprofits and took responsibility for advancing education reform themselves. They built a movement, engaging hundreds of organizations in a drive toward shared goals. They used tools outside the nonprofit sector, adapting GE's Six Sigma planning process for the social sector. And through the community report card and the biweekly meetings of the SSNs they created actionable knowledge that motivated the community and improved performance among the participants.

Funding collective impact initiatives costs money, but it can be a highly leveraged investment. A backbone organization with a modest annual budget can support a collective impact initiative of several hundred organizations, magnifying the impact of millions or even billions of dollars in existing funding. Strive, for example, has a \$1.5 million annual budget but is coordinating the efforts and

increasing the effectiveness of organizations with combined budgets of \$7 billion. The social sector, however, has not yet changed its funding practices to enable the shift to collective impact. Until funders are willing to embrace this new approach and invest sufficient resources in the necessary facilitation, coordination, and measurement that enable organizations to work in concert, the requisite infrastructure will not evolve.

FUTURE SHOCK

What might social change look like if funders, nonprofits, government officials, civic leaders, and business executives embraced collective impact? Recent events at Strive provide an exciting indication of what might be possible.

Strive has begun to codify what it has learned so that other communities can achieve collective impact more rapidly. The organization is working with nine other communities to establish similar cradle to career initiatives.⁴ Importantly, although Strive is broadening its impact to a national level, the organization is not scaling up its own operations by opening branches in other cities. Instead, Strive is promulgating a flexible process for change, offering each community a set of tools for collective impact, drawn from Strive's experience but adaptable to the community's own needs and resources. As a result, the new communities take true ownership of their own collective impact initiatives, but they don't need to start the process from scratch. Activities such as developing a collective educational reform mission and vision or creating specific community-level educational indicators are expedited through the use of Strive materials and assistance from Strive staff. Processes that took Strive several years to develop are being adapted and modified by other communities in significantly less time.

These nine communities plus Cincinnati have formed a community of practice in which representatives from each effort connect regularly to share what they are learning. Because of the number and diversity of the communities, Strive and its partners can quickly determine what processes are universal and which require adaptation to a local context. As learning accumulates, Strive staff will incorporate new findings into an Internet-based knowledge portal that will be available to any community wishing to create a collective impact initiative based on Strive's model.

This exciting evolution of the Strive collective impact initiative is far removed from the isolated impact approach that now dominates the social sector and that inhibits any major effort at comprehensive, large-scale change. If successful, it presages the spread of a new approach that will enable us to solve today's most serious social problems with the resources we already have at our disposal. It would be a shock to the system. But it's a form of shock therapy that's badly needed. ■

Notes

- 1 Interview with Kathy Merchant, CEO of the Greater Cincinnati Foundation, April 10, 2010.
- 2 See Mark Kramer, Marcie Parkhurst, and Lalitha Vaidyanathan, *Breakthroughs in Shared Measurement and Social Impact*, FSG Social Impact Advisors, 2009.
- 3 "Successful Starts," United Way of Greater Cincinnati, second edition, fall 2009.
- 4 Indianapolis, Houston, Richmond, Va., and Hayward, Calif., are the first four communities to implement Strive's process for educational reform. Portland, Ore., Fresno, Calif., Mesa, Ariz., Albuquerque, and Memphis are just beginning their efforts.



NONPROFITS

Embracing Emergence: How Collective Impact Addresses Complexity

Collective impact is upending conventional wisdom on how we achieve social progress.

By **John Kania & Mark Kramer** | 4 | Jan. 21, 2013

Organizations around the world have begun to see collective impact as a new and more effective process for social change. They have grasped the difference our past articles emphasized between the isolated impact of working for change through a single organization versus a highly structured cross-sector coalition.¹ Yet, even as practitioners work toward the five conditions of collective impact we described earlier, many participants are becoming frustrated in their efforts to move the needle on their chosen issues. (See “The Five Conditions of Collective Impact,” below.)

Collective impact poses many challenges, of course: the difficulty of bringing together people who have never collaborated before, the competition and mistrust among funders and grantees, the struggle of agreeing on shared metrics, the risk of multiple self-anointed backbone organizations, and the perennial obstacles of local politics. We believe, however, that the greatest obstacle to success is that practitioners embark on the collective impact process expecting the wrong kind of solutions.

The Five Conditions of Collective Impact

Common Agenda	All participants have a shared vision for change including a common understanding of the problem and a joint approach to solving it through agreed upon actions.
Shared Measurement	Collecting data and measuring results consistently across all participants ensures efforts remain aligned and participants hold each other accountable.
Mutually Reinforcing Activities	Participant activities must be differentiated while still being coordinated through a mutually reinforcing plan of action.
Continuous Communication	Consistent and open communication is needed across the many players to build trust, assure mutual objectives, and create common motivation.
Backbone Support	Creating and managing collective impact requires a separate organization(s) with staff and a specific set of skills to serve as the backbone for the entire initiative and coordinate participating organizations and agencies.

The solutions we have come to expect in the social sector often involve discrete programs that address a social problem through a carefully worked out theory of change, relying on incremental resources from funders, and ideally supported by an evaluation that attributes to the program the impact achieved.

Once proven, these solutions can scale up by spreading to other organizations.

The problem is that such predetermined solutions rarely work under conditions of complexity—conditions that apply to most major social problems—when the unpredictable interactions of multiple players determine the outcomes. And even when successful interventions are found, adoption spreads very gradually, if it spreads at all.

Collective impact works differently. The process and results of collective impact are emergent rather than predetermined, the necessary resources and innovations often already exist but have not yet been recognized, learning is continuous, and adoption happens simultaneously among many different organizations.

In other words, collective impact is not merely a new process that supports the same social sector solutions but an entirely different model of social progress. The power of collective impact lies in the heightened vigilance that comes from multiple organizations looking for resources and innovations through the same lens, the rapid learning that comes from continuous feedback loops, and the immediacy of action that comes from a unified and simultaneous response among all participants.

Under conditions of complexity, predetermined solutions can neither be reliably ascertained nor implemented. Instead, the rules of interaction that govern collective impact lead to changes in individual and organizational behavior that create an ongoing progression of alignment, discovery, learning, and emergence. In many instances, this progression greatly accelerates social change without requiring breakthrough innovations or vastly increased funding. Previously unnoticed solutions and resources from inside or outside the community are identified and adopted. Existing organizations find new ways of working together that produce better outcomes.

Leaders of successful collective impact initiatives have come to recognize and accept this continual unfolding of newly identified opportunities for greater impact, along with the setbacks that inevitably accompany any process of trial and error, as the powerful but unpredictable way that collective impact works. They have embraced a new way of seeing, learning, and doing that marries emergent solutions with intentional outcomes.

Complexity and Emergence

It would be hard to deny that most large-scale social problems are complex. Issues such as poverty, health, education, and the environment, to name just a few, involve many different interdependent actors and factors. There is no single solution to these problems, and even if a solution were known, no one individual or organization is in a position to compel all the players involved to adopt it. Important variables that influence the outcome are not and often cannot be known or predicted in advance.² Under these conditions of complexity, predetermined solutions rarely succeed.

Predetermined solutions work best when technical expertise is required, the consequences of actions

are predictable, the material factors are known in advance, and a central authority is in a position to ensure that all necessary actions are taken by the appropriate parties. Administering the right medicine to a patient, for example, generally gives predetermined results: the medicine has been proven to work, the benefits are predictable, the disease is well understood, and the doctor can administer the treatment. Much of the work of the nonprofit and public sectors is driven by the attempt to identify such predetermined solutions. In part, this is due to the expectations of funders and legislators who understandably want to know what their money will buy and predict how the discrete projects they fund will lead to the impacts they seek.

Leaders of successful collective impact initiatives have embraced a new way of seeing, learning, and doing that marries emergent solutions with intentional outcomes.

Unlike curing a patient, problems such as reforming the US health care system cannot be accomplished through predetermined solutions. No proven solution exists, the consequences of actions are unpredictable, and many variables—such as the outcome of elections—cannot be known in advance. Furthermore, any solution requires the participation of countless government, private sector, and nonprofit organizations, as well as a multitude of individual citizens. In these circumstances, emergent solutions will be more likely to succeed than predetermined ones.

Taken from the field of complexity science, “emergence” is a term that is used to describe events that are unpredictable, which seem to result from the interactions between elements, and which no one organization or individual can control. The process of evolution exemplifies emergence. As one animal successfully adapts to its environment, others mutate in ways that overcome the advantages the first animal has developed. There is no ultimate “solution” beyond the process of continual adaptation within an ever-changing environment.

To say that a solution is emergent, however, is not to abandon all plans and structures.³ Rather than deriving outcomes by rigid adherence to preconceived strategies, a key tenet of addressing complex problems is to focus on creating effective rules for interaction. These rules ensure alignment among participants that increases the likelihood of emergent solutions leading to the intended goal. Consider, for example, how flocks of birds are able to demonstrate such amazing coordination and alignment, with thousands of independent bodies that move as one, reacting together in nanoseconds to changes in geography, topography, wind currents, and potential predators.⁴ Scientists have discovered that just three simple rules govern their interaction: maintain a minimum distance from your neighbor; fly at the same speed as your neighbor; and always turn towards the center. All three rules are essential for flocking. When they are in place, it is as if all birds collectively “see” what each bird sees and “respond”

as each bird responds.⁵

The five conditions for collective impact similarly serve as rules for interaction that lead to synchronized and emergent results. A common agenda, if authentic, creates intentionality and enables all participating organizations to “see” solutions and resources through similar eyes. Shared measurement, mutually reinforcing activities, and continuous communication enable participants to learn and react consistently with the common agenda to emerging problems and opportunities. Meanwhile, the backbone organization supports fidelity by the various cross-sector players to both the common agenda and rules for interaction.

When properly put into motion, the process of collective impact generates emergent solutions toward the intended outcomes under continually changing circumstances. As with evolution, this process is itself the solution. And, as with a flock of birds, effective collective impact efforts experience a heightened level of vigilance that enables participants to collectively see and respond to opportunities that would otherwise have been missed.

Collective Vigilance

It is commonplace to bemoan the insufficiency of resources and solutions needed to address the world’s most challenging problems. As successful collective impact efforts around the world are discovering, however, the problem is not necessarily a lack of resources and solutions, but our inability to accurately see the resources and solutions that best fit our situation.

When each organization views the availability of resources and the range of solutions through the lens of its own particular agenda, the resulting kaleidoscope conceals many opportunities. Collective impact efforts, however, sharpen a community’s collective vision. Having a shared understanding of the problem and an appropriately framed common agenda increases the likelihood that communities will see relevant opportunities as they emerge. The novelty of working with people from different sectors brings a fresh perspective that encourages creativity and intensifies effort. This, in turn, can motivate more generous support from both participants and outsiders. The rules for interaction from collective impact create an alignment within complex relationships and sets of activities which, when combined with shared intentionality, causes previously invisible solutions and resources to emerge.

In 2008, for example, the city of Memphis, Tenn., and Shelby County initiated a multi-pronged collective impact initiative called Memphis Fast Forward that includes a focus on improving public safety called Operation: Safe Community. After three years, cross-sector stakeholders looked at data regarding progress in public safety and concluded they were making good headway on two of three priority thrusts: policing and prosecution. Unfortunately, they saw little progress in the third area of violence prevention. The parties agreed to double down their efforts and re-tool the plan for prevention. Three months later, the U.S. Department of Justice announced the formation of the National Forum on Youth Violence Prevention, with federal support available to communities aspiring to higher levels

of performance in prevention activities. Memphis Fast Forward quickly jumped into action and, three months later, was one of six communities nationwide to be selected for funding.

The leaders of Memphis Fast Forward could not have anticipated and planned for the new resources that came from the Department of Justice. Had the participating organizations been acting in isolation, they most likely would not have been aware of the new program, and even if one or two solitary nonprofits knew of the potential funding, it is unlikely that they could have mobilized a sufficient community-wide effort in time to win the grant. Collective impact enabled them to see and obtain existing resources that they otherwise would have missed.

The vigilance inspired by collective impact can lead to emergent solutions as well as resources. In 2003, stakeholders in Franklin County, a rural county in western Massachusetts, initiated an effort called Communities that Care that focused on reducing teen substance abuse by 50 percent. A key goal in the common agenda was to improve the attitudes and practices of families. The initial plan was to “train the trainers” by working with a cadre of parents to learn and then teach other parents. Unfortunately, in 2006 and 2009, the data showed no improvement in parental behaviors.

The initiative then decided to try something new: a public will-building campaign designed to reach all parents of 7th through 12th grade students. The initiative worked with schools to send postcards home, and with businesses to get messages on pizza boxes, grocery bags, paper napkins, in fortune cookies, in windows, on banners, on billboards, and on the radio. The initiative had also come across an outside research study showing that children who have regular family dinners are at lower risk for substance use, so they included that message as well.

Leaders of the effort were paying close attention to the campaign to determine which messages had any impact. Through surveys and focus groups the initiative discovered that the family dinner message resonated strongly with local parents, in part because it built on momentum from the local food movement, the childhood anti-obesity movement, and even the poor economy that encouraged families to save money by eating at home. Armed with this evidence, the initiative went further, capitalizing on national Family Day to get free materials and press coverage to promote the family dinner message. As a result, the percentage of youth having dinner with their families increased 11 percent and, for the first time since the effort was initiated seven years earlier, Franklin County saw significant improvements in key parental risk factors.⁶

The Franklin County example demonstrates how collective impact marries the power of intentionality with the unpredictability of emergence in a way that enables communities to identify and capitalize on impactful new solutions. In this case, the failure to make progress against an intended goal prompted both a new strategy (switching from parental train-the-trainer groups to a public awareness campaign) and a search outside the community for new evidence based practices (family dinners) that supported their goal of reducing parental risk factors. This clarity of vision also enabled the initiative to capitalize on unrelated and unanticipated trends in food, obesity, and the economy that emerged during the

course of the work and amplified their message.

In both of these examples, the ongoing vigilance of multiple organizations with a shared intention, operating under the rules for interaction of the collective impact structure, empowered all stakeholders together—flexibly and quickly—to see and act on emerging opportunities. The intentions never changed, but the plans did. And in both cases, the resources and solutions that proved most helpful might have been overlooked as irrelevant had the stakeholders adhered to their original plans.

It may seem that these two examples were just “lucky” in coming upon the resources and solutions they needed. But we have seen many such collective impact efforts in which the consistent unfolding of unforeseen opportunities is precisely what drives social impact. This is the solution that collective impact offers.

Collective Learning

The leaders of both the Memphis and Franklin County collective impact initiatives learned that they were not making progress on one dimension of their strategies. Of course, nonprofits and funders learn that they have unsuccessful strategies all the time. What was different in these cases is that the rules for interaction established by collective impact created a continuous feedback loop that led to the collective identification and adoption of new resources and solutions.

Continuous feedback depends on a vision of evaluation that is fundamentally different than the episodic evaluation that is the norm today in the nonprofit sector. Episodic evaluation is usually retrospective and intended to assess the impact of a discrete initiative. One alternative approach is known as “developmental evaluation,”⁷ and it is particularly well suited to dealing with complexity and emergence.⁸

Developmental evaluation focuses on the relationships between people and organizations over time, and the problems or solutions that arise from those relationships. Rather than render definitive judgments of success or failure, the goal of developmental evaluation is to provide an on-going feedback loop for decision making by uncovering newly changing relationships and conditions that affect potential solutions and resources. This often requires reports on a weekly or biweekly basis compared to the more usual annual or semi-annual evaluation timeline.

The Vibrant Communities poverty reduction initiative in Canada has successfully employed developmental evaluation within their collective impact efforts to help identify emergent solutions and resources. Facilitated by the Tamarack Institute, which serves as a national backbone to this multi-community effort, Vibrant Communities began 11 years ago with a traditional approach to accounting for results based on developing a logic model and predetermined theory of change against which they would measure progress. They quickly discovered that very few groups could develop an authentic and robust theory of change in a reasonable period of time. Often the logic model became an empty exercise that did not fully reflect the complex interactions underlying change. Tamarack then shifted to a more

flexible model that embodied the principles of developmental evaluation. They began to revise their goals and strategies continuously in response to an ongoing analysis of the changes in key indicators of progress, as well as changes in the broader environment, the systems of interaction, and the capacities of participants. Although it sounds complicated, such a process can be surprisingly straightforward. The Vibrant Communities initiative in Hamilton, Ontario, for example, developed a simple two-page weekly “outcomes diary” to track changes in impact on individuals, working relationships within the community, and system level policy changes.

Vibrant Communities’ rapid feedback loops and openness to unanticipated changes that would have fallen outside a predetermined logic model enabled them to identify patterns as they emerged, pinpointing new sources of energy and opportunity that helped to generate quick wins and build greater momentum. This approach has provided critical insights—for individual communities and the initiative as a whole—into how interlocking strategies and systems combine to advance or impede progress against a problem as complex as poverty reduction.

We have earlier emphasized the importance of shared measurement systems in collective impact efforts, and they are indeed essential for marking milestones of progress over time. Because most shared measurement systems focus primarily on tracking longitudinal quantitative indicators of success, however, the systems are not typically designed to capture emergent dynamics within the collective impact effort—dynamics which are multi-dimensional and change in real time. As a result, developmental evaluation can provide an important complement to the “what” of shared measurement systems by providing the critical “how” and “why.”

In its Postsecondary Success (PSS) program area, the Bill & Melinda Gates Foundation is also using developmental evaluation to better understand emergent opportunities in the context of complexity. While the PSS is not fully engaging in collective impact, its Communities Learning in Partnership (CLIP) is instilled with the same spirit and many of the requisite conditions for collective impact. The initiative engages diverse stakeholders, including the K–12 educational system, higher education, the business community, political, civic, and community leaders, and social service providers with the goal of increasing post-secondary completion rates among low-income young adults.

The general framework for change for the CLIP work provides guideposts, but is not overly prescriptive. In seeking to improve post-secondary completion rates among low-income youth, grantee communities have been asked to focus on four broad-based levers for change: developing partnerships, using data to inform their strategies, building commitment among stakeholders, and tackling policy and practice change. Yet it is entirely up to the communities, armed with deep knowledge about their local context, to make sense of these four levers and to identify and pursue emergent opportunities for themselves.

The Gates Foundation has retained the OMG Center to perform developmental evaluation to gain greater insight into emerging solutions and to understand what it takes for a community to coalesce

around a postsecondary completion goal. This requires near-constant contact. The OMG evaluation team speaks with the technical assistance providers and the foundation program officer every two weeks and reviews documents and data from the grantee sites on a rolling basis. In most cases, OMG has ready access to document sharing websites that grantees have set up to support the partnership. OMG structures interviews to build off of previous conversations and produces a running narrative that documents in detail how the work is unfolding. OMG also connects directly with the grantees and their partners through interviews and site visits every three to four months.

Following every major data collection point, OMG shares a rapid feedback memo with the site, the technical assistants, and the foundation team containing their observations and questions for consideration. OMG shares new analysis and insights nearly every eight weeks, and pairs ongoing assessments with a debriefing call or a reflection meeting. They also hold an annual meeting to review the program's theory of change, enabling the evaluation, foundation, and technical assistance partners to revise it as emergent opportunities are identified.

This developmental evaluation has allowed the Gates Foundation, OMG, and grantee communities to capture and synthesize an unprecedented level of nuance about how change happens in a particular community—who needs to drive the agenda, who needs to support it, how they can get on board, and what structures are needed to support the effort. The developmental evaluation has also helped unearth the habitual and cultural practices and beliefs that exert enormous influence on how important organizations and leaders—such as school districts, higher education institutions, and municipal leaders—operate. These informal systems could have been easily overlooked in a more traditional formative evaluation with a more structured framework of analysis.⁹

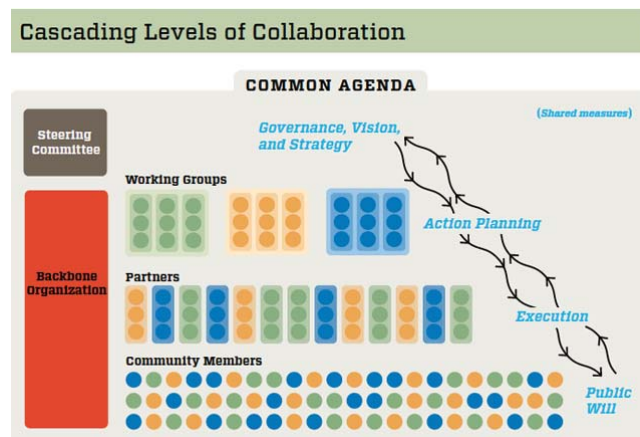
As vigilant as participating members of a collective impact initiative may be, efforts to identify improvements can be helped by a “second set of eyes” focused on identifying emergent patterns. In the case of CLIP, the added vision afforded through developmental evaluation resulted in significantly improved learning around opportunities and resources, leading to important changes in the actions of key stakeholders.

Collective Action

Capturing learnings is one thing, acting on them is another. The traditional model of social change assumes that each organization learns its own lessons and finds its own solutions which are then diffused over time throughout the sector. In effective collective impact initiatives, however, learning happens nearly simultaneously among all relevant stakeholders and, as a result, many organizations develop and respond to new knowledge at the same time. This has two important consequences: first, new solutions are discovered that bridge the needs of multiple organizations or are only feasible when organizations work together, and second, all participating organizations adopt the new solution at the same time. We described the key to this coordinated response in our previous article, “Channeling Change: Making Collective Impact Work,” published in Stanford Social Innovation Review in January

2012, as “cascading levels of linked collaboration.” This structure is currently being used in the majority of effective collective impact efforts we have researched. (See “Cascading Levels of Collaboration,” below.)

When supported by an effective backbone and shared measurement system, the cascading levels of collaboration creates a high degree of transparency among all organizations and levels involved in the work. As the illustration suggests, information flows both from the top down and from the bottom up. Vision and oversight are centralized through a steering committee, but also decentralized through multiple working groups that focus on different levers for change.



Our research indicates that these working groups are most successful when they constitute a representative sample of the stakeholders. This leads to emergent and anticipatory problem solving that is rigorous and disciplined and, at the same time, flexible and organic. Structuring efforts in this way also increases the odds that a collective impact initiative will find emergent solutions that simultaneously meet the needs of all relevant constituents, resulting in a much more effective feedback loop that enables different organizations to respond in a coordinated and immediate way to new information. Similar to the birds in a flock, all organizations are better able to learn what each organization learns, enabling a more aligned, immediate, and coordinated response.

Consider Tackling Youth Substance Abuse (TYSA), a teen substance abuse prevention initiative in Staten Island, New York. The overall goal of this collective impact effort, launched in May of 2011, is to decrease youth prescription drug and alcohol abuse in Staten Island, a community of nearly 500,000 people. The effort is coordinated through a steering committee and one-person backbone organization. There are four working groups: a social norms group focused on changing attitudes and behaviors of youth and parents, a retail and marketplace availability group focused on policies that limit inappropriate purchasing of prescription drugs and alcohol, a continuum of care group focused on developing and coordinating high quality approaches to screening-referral-treatment-and-recovery, and a policy and advocacy group focused on creating a policy platform regarding facets of teen substance abuse.

Stakeholders in the continuum of care working group include representatives from those who treat youth substance abuse disorders (such as hospitals, and mental health and substance abuse providers), those who work with youth who might have or be at significant risk of developing a substance abuse disorder (such as the New York City Department of Probation and drug treatment court), those who work on health protocols (such as the Department of Health) and those who provide counsel to youth (such as the YMCA and Department of Education substance abuse prevention counselors). A key

finding emerging from this group's initial stages of work was that, among treatment providers on Staten Island, there was no consistent screening tool for substance abuse disorders. Further investigation yielded the fact that a number of organizations working with youth at significant risk of developing a substance abuse disorder, such as probation, did not use a screening tool at all. Remarkably, pediatricians were also among the population of providers who had no consistent protocol for substance abuse screening and referral.

This led the continuum of care workgroup to identify an evidence-based screening tool approved by the local and state health agencies that quickly assesses the severity of adolescent substance use and identifies the appropriate level of treatment. The workgroup felt that this tool, called the CRAFFT, if used on Staten Island more widely, would lead to more system wide early intervention and referrals for assessments and treatment services for youth with substance use disorders, as well as those at risk of developing disorders.

At the same time, the social norms group was looking for a way that coaches, parents, and other people who came in contact with youth outside of formalized systems could better assess substance abuse. Through the cascading collaborative structure, the backbone organization and steering committee had a window into the activity of all work groups, enabling each of them to understand the needs of the others. Although there was a universal need to improve screening and referral, the diverse populations required different approaches. Specifically, youth counselors in both work groups agreed that the CRAFFT tool was too technical for use by non-clinicians. As a result, TYSA is moving forward by having the continuum of care workgroup roll out the use of CRAFFT with all professionals, including probation officers, pediatricians, adult and family doctors, school counselors, hospitals and emergency rooms, and child welfare providers.

Simultaneously, the social norms group is rolling out an evidence-based training program that educates coaches, parents, and other people who are in constant contact with youth in how to recognize the signs and symptoms of substance abuse and problem behavior, what questions to ask when having a conversation with youth about their drug or alcohol use, and arms them with the available resources to refer someone who they feel may be displaying such behaviors. The solution reached in this case was not one anticipated at the outset by TYSA steering committee members of the initiative. The rules for interaction, however, ensured that all participants were able to see each other's needs and act together, simultaneously agreeing on a pair of emergent solutions that serves the community far better than existing approaches implemented by any one organization or individual.

This process of collective seeing, learning, and doing is aptly described by noted author, Atul Gawande, in his book *The Checklist Manifesto*. Gawande investigated how the construction industry deals with complexity and uncertainty in building skyscrapers. He was amazed to find that the software they use does not itself provide the solution to unexpected problems that arise during construction. Instead, the software merely summons the right people together to collectively solve the problem. For example, if the problem involves electricity, the software notifies the electrician; if the problem is in plumbing, it

notifies the plumber; and so on—each person needed to resolve the problem is brought together by the software, but the people themselves figure out the solution.

In his book, Gawande remarks on the irony that the solution does not come from the computer or a single person in authority: “In the face of the unknown—the always nagging uncertainty about whether, under complex circumstances, things will really be OK—the builders trusted in the power of communication. They didn’t believe in the wisdom of the single individual, or even an experienced engineer. They believed in the wisdom of making sure that multiple pairs of eyes were on a problem, and then letting the watchers decide what to do.”

Although the construction industry’s approach has not been foolproof, its record of success in relying on emergent solutions has been astonishing: building failures in the United States amount to only 2 in 10 million. While complex social and environmental problems are very different than complex construction projects, Gawande’s investigation illustrates the pragmatic power in relying on emergent solutions.

When the Process Becomes the Solution

We have found in both our research and consulting that those who hope to launch collective impact efforts often expect that the process begins by finding solutions that a collective set of actors can agree upon. They assume that developing a common agenda involves gaining broad agreement at the outset about which predetermined solutions to implement. In fact, developing a common agenda is not about creating solutions at all, but about achieving a common understanding of the problem, agreeing to joint goals to address the problem, and arriving at common indicators to which the collective set of involved actors will hold themselves accountable in making progress. It is the process that comes after the development of the common agenda in which solutions and resources are uncovered, agreed upon, and collectively taken up. Those solutions and resources are quite often not known in advance. They are typically emergent, arising over time through collective vigilance, learning, and action that result from careful structuring of the effort. If the structure-specific steps we have discussed here are thoughtfully implemented, we believe that there is a high likelihood that effective solutions will emerge, though the exact timing and nature cannot be predicted with any degree of certainty. This, of course, is a very uncomfortable state of being for many stakeholders.

And yet staying with this discomfort brings many rewards. The collective impact efforts we have researched are achieving positive and consistent progress on complex problems at scale, in most cases without the need to invent dramatically new practices or find vast new sources of funding. Instead we are seeing three types of emergent opportunities repeatedly capitalized on in collective impact efforts:

- A previously unnoticed evidence-based practice, movement, or resource from outside the community is identified and applied locally.
- Local individuals or organizations begin to work together differently than before and therefore

find and adopt new solutions.

- A successful strategy that is already working locally, but is not systematically or broadly practiced, is identified and spread more widely.¹⁰

In each of these cases, collective vigilance, learning, and action most often uncovers existing solutions and resources that have not been previously employed. In a world where breakthrough innovations are uncommon and resources are scarce, the opportunity to achieve greater social progress at a large scale with the tools already available is well worth the discomfort of shifting from predetermined to emergent solutions.

Effective collective impact efforts serve one other important function as well: providing a unified voice for policy change. Vibrant Communities reports that numerous changes in government policies related to housing, transportation, tax policy, child care, food security, and the like have resulted from the power of alignment across sectors that results from the disciplined, yet fluid structuring, of collective impact efforts. In our own experience working with the Juvenile Justice system for the State of New York, a twelve-month collective impact effort to establish an initial common agenda was able to produce clear policy recommendations that have since been signed into law. As our political system increasingly responds to isolated special interests, the power of collective impact to give political voice to the needs of a community is one of its most important dimensions.

Shifting Mindsets

To be successful in collective impact efforts we must live with the paradox of combining intentionality (that comes with the development of a common agenda) and emergence (that unfolds through collective seeing, learning, and doing). For funders this shift requires a different model of strategic philanthropy in which grants support processes to determine common outcomes and rules for interaction that lead to the development of emergent solutions, rather than just funding the solutions themselves. This also requires funders to support evaluative processes, such as developmental evaluation, which prioritize open-ended inquiry into emergent activities, relationships, and solutions, rather than testing the attribution of predetermined solutions through retrospective evaluations.

Such a shift may seem implausible, yet some examples exist. We earlier mentioned that the Gates Foundation is using developmental evaluation to support an effort that provides broad latitude for grantee communities to identify emergent strategies. The Gates Foundation's Pacific Northwest Division has made a similar shift by supporting the infrastructure for collective impact education reform in nine south Seattle communities. And the Greater Cincinnati Foundation, a key initial champion of the Strive "cradle to career" collective impact education effort in Cincinnati and Northern Kentucky, is now supporting the development of shared community outcomes and backbone organizations in four additional program areas: workforce development, early childhood, community development, and economic development.

Curiosity is What We Need

At its core, collective impact is about creating and implementing coordinated strategy among aligned stakeholders. Many speak of strategy as a journey, whether referring to an organization, a career, or even raising a family. But we need to more fully confront what happens on the journey. Some days we will move quickly as planned, other days we may find our way forward unexpectedly blocked. We will meet new people and develop new ideas about our purpose, and even the coordinates of our destination. Going on a journey is a complex undertaking. Often, the best course of action is to make sure we are closely watching what's happening at each stage of the way. As Brazilian author Paulo Coelho remarked "When you are moving towards an objective, it is very important to pay attention to the road. It is the road that teaches us the best way to get there, and the road enriches us as we walk its length."¹¹

Complexity theorists believe that what defines successful leaders in situations of great complexity is not the quality of decisiveness, but the quality of inquiry. As organizational behavior guru Margaret Wheatley puts it, "we live in a complex world, we often don't know what is going on, and we won't be able to understand its complexity unless we spend more time not knowing... Curiosity is what we need."¹² Collective impact success favors those who embrace the uncertainty of the journey, even as they remain clear eyed about their destination. If you embark on the path to collective impact, be intentional in your efforts and curious in your convictions.

[Download the PDF.](#)

¹ John Kania and Mark Kramer, "Collective Impact," Stanford Social Innovation Review, Winter 2011. Fay Hanleybrown, John Kania, and Mark Kramer, "Channeling Change: Making Collective Impact Work," Stanford Social Innovation Review, January 2012.

² We first wrote about uncertain and unpredictable situations involving multiple stakeholders, in which there is no known answer for the problem at hand, in "Leading Boldly," by Ronald Heifetz, John Kania, and Mark Kramer in Stanford Social Innovation Review, Winter 2004. We referred to these situations as adaptive problems. Co-author Ronald Heifetz coined the term "adaptive problems" in his seminal body of work on "adaptive leadership." Complex problems and adaptive problems are essentially different terms describing similar conditions, sometimes also referred to as wicked problems, and all three terms have their foundation in complexity science and its twin discipline, chaos theory. Our own experience, and that of several leading practitioners, has shown that the principles of adaptive leadership are extremely useful in guiding the collective impact process.

³ Even in the world of business where business plans are taken for granted, leading strategists such as McGill University professor Henry Mintzberg, have conducted extensive research that demonstrates most corporate strategies are emergent. Companies begin with plans, to be sure, but learn their way into successful business models through trial and error, reshaping their strategies in response to changing conditions, and accumulated experience.

⁴ If you want to be re-inspired by this sight, go to You Tube and search for "Starlings at Ot Moor" in the UK.

⁵ From Frances Westley, Brenda Zimmerman, and Michael Patton, *Getting to Maybe: How the World is Changed*, Random House Canada, 2006.

⁶ The risk factor of Poor Family Management dropped by 19 percent and Parental Attitudes Favorable to Substance Use decreased 12 percent. See FSG blog by Kat Allen, co-chair, Communities That Care Coalition of Franklin County and the North Quabbin.

⁷ Developmental evaluation is a term coined by the organizational consultant and program evaluator Michael Quinn Patton in the early 1990s.

⁸ Hallie Preskill and Tanya Beer, *Evaluating Social Innovation*, Center for Evaluation Innovation.

⁹ Preskill and Beer, *Evaluating Social Innovation*.

¹⁰ The notion of capitalizing on emergent solutions that come from within has been compellingly depicted by authors Richard Pascale, Jerry Stermin, and Monique Stermin in their book, *The Power of Positive Deviance*, Harvard Business Review Press, 2010. The authors share provocative examples of “positive deviants” who live and work under the same constraints as everyone else, yet find a way to succeed against all odds. Because the solutions have been developed under existing constraints, they can be applied more broadly by others living and working in the same community without the need for incremental resources.

¹¹ Quote appeared in Charles Foster’s *The Sacred Journey*, Thomas Nelson, 2010. Taken from the character Petrus, Paulo Coelho’s fictitious guide on the road to Santiago de Compostela, in Paulo Coelho’s book, *The Pilgrimage*.

¹² Margaret J. Wheatley, *Turning to One Another: Simple Conversations to Restore Hope to the Future*, Berrett-Koehler Publishers, 2002, pp. 38-42.

John Kania is managing director of FSG, focusing on inspiring social sector organizations—both individually and collectively—to achieve excellence in their work. He has led dozens of strategic planning and evaluation efforts for foundations, nonprofits, corporations, and governments.

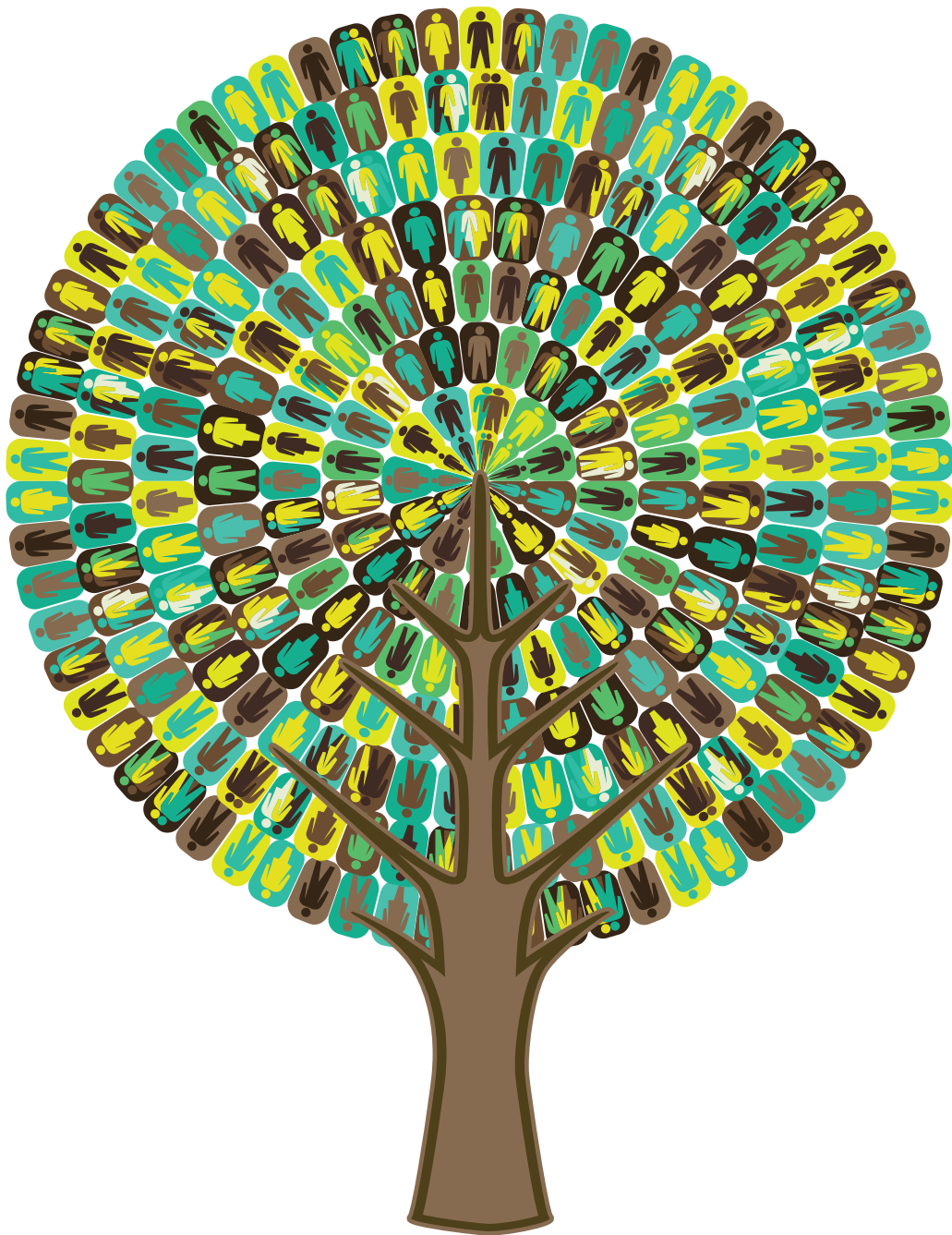
Mark Kramer is founder and managing director of FSG, overseeing the firm’s overall vision and direction. He is widely published, speaks around the world, and has led consulting engagements across all of FSG’s areas of focus. Kramer is also a senior fellow at the Harvard Kennedy School.

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UNDERSTANDING THE VALUE OF BACKBONE ORGANIZATIONS IN COLLECTIVE IMPACT



About Collective Impact

No single organization alone has the ability to solve the world's most challenging problems. Collective Impact occurs when actors from different sectors commit to a common agenda for solving a specific social or environmental problem. FSG's Collective Impact services include design and launch of initiatives, facilitation of strategic efforts, and development of shared measurement systems. Learn more at www.fsg.org.

About FSG

FSG is a 501(c)(3) nonprofit consulting firm specializing in strategy, evaluation, and research. We help organizations discover better ways to solve social problems. FSG was originally founded in 2000 as Foundation Strategy Group, and today works across all sectors in every region of the globe, partnering with corporations, foundations, nonprofits, and governments to achieve critical social change. Learn more at www.fsg.org.

About The Greater Cincinnati Foundation

The Greater Cincinnati Foundation helps people make the most of their giving to build a better community. We believe in the power of philanthropy to change the lives of people and communities. As a community foundation, GCF creates a prosperous Greater Cincinnati by investing in thriving people and vibrant places. An effective steward of the community's charitable resources since 1963, the Foundation inspires philanthropy in eight counties in Ohio, Kentucky and Indiana. www.gcdfn.org

Understanding the Value of **BACKBONE ORGANIZATIONS** in Collective Impact

*An in-depth review
of what it takes
to be a backbone
organization, and
how to evaluate and
support its work*

BY SHILOH TURNER, KATHY MERCHANT, JOHN KANIA AND ELLEN MARTIN

This article is adapted from its original publication in July 2012 as a four-part blog series in the Stanford Social Innovation Review, www.ssireview.org/blog.

Effective backbone support is a critical condition for collective impact. In fact, it is the number one reason that collective impact initiatives fail. In this publication, we provide communities and organizations engaged in collective impact with guidance on the role of the backbone and how to understand and support its effectiveness.

In the Greater Cincinnati region, collective impact has become the “new normal,” and The Greater Cincinnati Foundation (GCF) has made a commitment to support the infrastructure of collective impact – the backbone organization itself – in an effort to sustain and scale long-term systemic change and impact in the community. However, the role of the backbone organization in collective impact is complex and can be difficult to explain.

In early 2012, The Greater Cincinnati Foundation and FSG began a partnership to define the value of backbone organizations and better understand backbone effectiveness by working with six local backbone organizations and collective impact initiatives.

We learned that backbone organizations essentially pursue six common activities to support and facilitate collective impact which distinguish this work from other types of collaborative efforts. Over the lifecycle of an initiative, they:

1. Guide vision and strategy
2. Support aligned activities

3. Establish shared measurement practices
4. Build public will
5. Advance policy
6. Mobilize funding

Over time, backbone organizations can expect these activities to lead to changes among partners, funders, policymakers, and community members which, in turn, lead to more effective systems and improved community outcomes.

Through our research, we also gained insight into the value of backbone organizations and their leaders. Across organizations, the value of backbone support was commonly viewed as unmistakable; individual partners could not do the work of collective impact without it. In addition, backbone leaders must possess certain key characteristics that make them effective in the complex collective impact environment. Yet beyond these commonalities, the way that each backbone organization approaches the role varies depending on their context.

As a result of our work, GCF and FSG have created a community of practice of six regional backbone organizations. Through our process, backbone organizations are using the data we’ve collected to inform their individual work. They are also finding synergies among the group and taking opportunities to leverage each other’s efforts to feed common goals.

I. MAKING A COMMITMENT TO STRENGTHEN BACKBONE ORGANIZATIONS

Communities and organizations around the world are adopting a different mindset to achieve large-scale systemic change through collective impact, a concept that was first introduced in the winter 2011 issue of *Stanford Social Innovation Review* and more recently discussed on the *Stanford Social Innovation Review* blog. As cross-sector groups engage more deeply in this practice, funders and practitioners alike find ourselves probing for answers to the question: How do you do this work well?

In Cincinnati, the collective impact model is a living, breathing—and evolving—practice. The community has embraced this approach to accelerating change across systems. And the community’s leaders are committing to making this ambitious work succeed.

GCF is leading the way for collective impact in the region. As a funder, GCF believes that providing “backbone support” (see text

box) which propels collective impact efforts is critically important. The Foundation has taken a bold, if not “sexy,”¹ step by investing in the support infrastructure of collective impact—the backbone organization itself—to accelerate change. If the Foundation is to succeed, everyone must understand what backbone organizations are and how they can be most effective.

In January 2012, GCF and FSG began exploring four big questions with a cohort of the region’s backbone organizations:

- How and to what extent are backbone organizations **effective catalysts** for achieving community-level progress?
- How and to what extent do backbone organizations contribute to improved social outcomes?
- How is **success** best measured for backbone organizations?
- What **common challenges and best practices** can be shared across backbone organizations?

We are sharing our experience to help funders

see backbone support as a strategy to advance collective impact initiatives. We hope to build a common language and understanding for the role and value of backbone organizations so that all partners in a collective impact effort can articulate the need for and the importance of this vital element, and ensure the overall success of an initiative.

Cincinnati’s “New Normal”

In Cincinnati, collaboration is the “new normal,” but this was not always the case. Like many regions, individual organizations and initiatives were doing important and effective work. But the overall economy still lagged behind its peers around the country. For this community, the collective impact model developed, almost organically, as organizations convened collaboratives and coalitions to invent more effective methods for creating powerful and lasting social change. Over the last 10 years or so, many strong backbone organizations were created to coordinate community initiatives and accelerate change. GCF played an important role in funding, incubating, or otherwise supporting many of these initiatives.

As an anchor institution, GCF has taken the long view on complex social problems when few others could; it has evidence that progress can be made when the community sticks with large-scale initiatives. Supporting collective impact has been a natural evolution in GCF’s community leadership. The Foundation believes that, by providing change capital to a group of backbone organizations, it will be able to accelerate progress toward social change in the region.

GCF and FSG’s Work Together

In addition to a leveraged, multi-year funding strategy, GCF chose to invest in evaluating the work of a cohort of backbone organizations and in creating a community of practice among them. Using this ap-

Collective Impact: Five Key Conditions for Shared Success

Common Agenda	All participants have a shared vision for change including a common understanding of the problem and a joint approach to solving it through agreed upon actions
Shared Measurement	Collecting data and measuring results consistently across all participants ensures efforts remain aligned and participants hold each other accountable
Mutually Reinforcing Activities	Participant activities must be differentiated while still being coordinated through a mutually reinforcing plan of action
Continuous Communication	Consistent and open communication is needed across the many players to build trust, assure mutual objectives, and appreciate common motivation
Backbone Support	Creating and managing collective impact requires a separate organization(s) with staff and a specific set of skills to serve as the backbone for the entire initiative and coordinate participating organizations and agencies

1. Jen Landres, Is “Unsexy” In?, The Center for High Impact Philanthropy at the School of Social Policy & Practice, University of Pennsylvania. <http://blog.impact.upenn.edu/2012/06/20/is-unsexy-in/>

If the Foundation is to succeed, everyone must understand what backbone organizations are and how they can be most effective.

proach, regardless of sector or issue, these organizations would learn from each other, continuously improve their practice, and encourage greater collaboration across overlapping initiatives. GCF engaged FSG to assist in this work. As a nonprofit strategy, evaluation, and research consulting firm, FSG believes evaluation is a powerful way to inform strategy and help organizations learn. The firm's strategic learning and evaluation practice helps individual organizations and groups design and implement program evaluations, shared measurement systems, and organizational evaluation systems.

In early 2012, GCF and FSG began a partnership built around evaluating backbone effectiveness and answering the above four questions. GCF selected six backbone organizations (see text box) to participate that are all beyond the initial "start-up" phase of forming their collective impact initiatives, and are refining and sustaining their initiatives. They all have at least one full-time staff person, but operate using a lean staffing model and mobilize many partners to help further their work. While the issue areas they address have some overlap, there are clear differences in the breadth and depth of the initiatives, the scope of the

backbone organizations' role, and the context in which they do their work.

GCF's Challenge

The work of a backbone organization is complex. The roles played in accelerating change can be challenging to articulate as, by design, their work is largely behind the scenes. Therefore, GCF's new approach to community leadership means that evaluating and communicating the value of backbone organizations has become all the more important. In addition, defining and communicating what "effectiveness" really means is another driver of the Foundation's work. The backbone organization is an emerging concept necessary in the collective impact approach. GCF needs to paint a clear picture for stakeholders—board members, staff, donors, volunteers, current and potential grant recipients—of what success looks like and why this strategy is ultimately worth pursuing. This is the challenge and task before us.

Key Learning: What Backbone Organizations Do

It is tempting to say (and our backbone organizations feel) that there are as many backbone models as there are collective impact initiatives. However, we found that there is, at some level, a common theory of change for backbone organizations that ultimately seeks to improve social outcomes by organizing cross-sector groups of partners to transform an often inefficient, fragmented system.

In order to fulfill this vision—regardless of their focus area—backbone organizations essentially pursue six common activities to support and facilitate collective impact which distinguish this work from other types of collaborative efforts. Over the lifecycle of an initiative, they:

1. Guide vision and strategy
2. Support aligned activities
3. Establish shared measurement practices

The Greater Cincinnati Foundation's Cohort of Backbone Organizations

Agenda 360 advances regional economic competitiveness as a program of the Cincinnati USA Chamber of Commerce

LISC's Place Matters supports comprehensive community development in Greater Cincinnati neighborhoods with investment from a consortium of philanthropic funders and the national organization LISC

Partners for a Competitive Workforce improves regional workforce development efforts, housed by United Way of Greater Cincinnati

The Strive Partnership is a cradle to career initiative that focuses on improving outcomes for children and students in the urban core

Success By 6 focuses on improving early childhood education and kindergarten readiness, also housed by United Way

Vision 2015 supports economic competitiveness in Northern Kentucky and is closely aligned with Agenda 360 across the river

SOURCE: BACKBONE ORGANIZATIONS

4. Build public will
5. Advance policy
6. Mobilize funding

As a collective impact initiative initially launches and gets organized, a backbone organization is likely to prioritize *guiding vision and strategy* and *supporting aligned activities* as two key activities. For example, in 2006, the Strive Partnership established the first ever "Cradle to Career" vision for the region's urban core, including a roadmap for student success with shared goals and measures of student achievement. For the past six years, the Strive Partnership has maintained an active and engaged executive committee comprised of cross-sector leadership from Cincinnati (OH), Covington, and Newport (KY) to ensure that the shared vision and strategy

continues to guide the work of the partners.

Another example highlights two regional backbones working across state lines to address a large-scale issue. Recognizing a leadership gap in the area of environmental sustainability, Vision 2015 (KY) and Agenda 360 (OH) have played a critical role in organizing and incubating an intermediary organization, Green Umbrella. With their support, Green Umbrella has brought together several organizations—including many of the region's businesses, education institutions, nonprofit organizations, and government agencies—to sustainably develop and grow the Greater Cincinnati area.

As backbone organizations mature, they often shift focus to *establish shared measurement practices* on behalf of their collective impact partners. For example, Partners for a Competitive Workforce (PCW), with its partners, has created a common, region-wide workforce data collection and reporting system to track results and improve performance for multiple agencies. To date, approximately 50 public and nonprofit agencies are utilizing the system, and a regional workforce dashboard is being built to aggregate key measures. Agenda 360 and Vision 2015 have also begun to identify and report on shared measures around several issues in the region as part of their regional indicators effort.

As backbone organizations seek to expand their impact and build a stronger community presence, they are likely to increase focus on other key external activities such as building public will, advancing policy, and mobilizing funding. For GCF's cohort, these activities are by and large still areas for continued development and improvement, though we are seeing some early successes.

In order to *build public will*, LISC works with its neighborhood partners to engage community members at the grassroots level. Its Place Matters neighborhoods have generated increased attention from the city's elect-

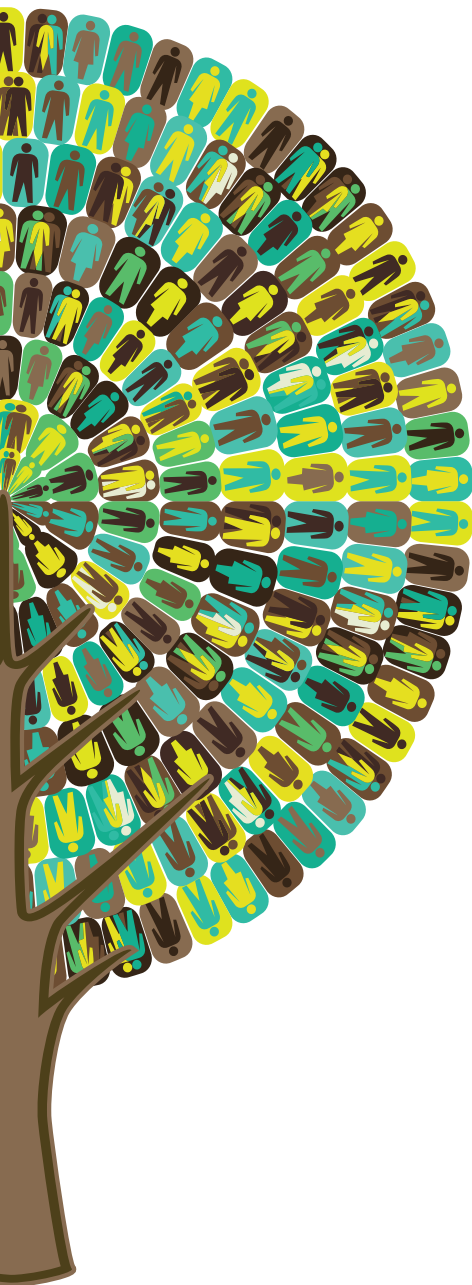
ed officials and policymakers. As an example, neighborhood leaders have taken on foreclosure as a policy issue, successfully bringing together diverse groups in the community to formulate a foreclosure response. Working with the city and courts, they have helped pass local legislation to mitigate the impact of foreclosure on their communities.

At the state level, Success By 6 is *advancing policy* by using local best practices and outcomes to educate policymakers and elected officials in Ohio and Kentucky about effective strategies to improve kindergarten readiness. Through its focus on measuring progress and using data to inform their work, Success By 6 and its partners have influenced the states' thinking about measurement systems and the development of kindergarten readiness standards. Success By 6 is actively involved in efforts to create aligned early education and care systems, with membership on state committees such as the Early Childhood Advisory Council in Ohio and Kentucky. The work of Early Childhood Advisory Councils in both states created a comprehensive vision for early childhood which resulted in securing a \$70 million Race to the Top Early Challenge Grant in Ohio. Through its committee participation, Success By 6 has played a role in defining elements of the system, identifying gaps in service and making the case for investing more in the region's youngest children.

In order to *mobilize funding* for its partners, PCW is coordinating funds from diverse sources to support common priorities and strategies. Since 2008, PCW has leveraged more than \$25 million in public and private funds from local, state, and national sources toward shared goals and strategies. This includes \$4.6 million in philanthropic funds, \$8.5 million in state and federal grants, and \$11.9 million in aligned training funds from the region's public workforce system.

The above examples illustrate how individual backbone organizations have ap-





Backbone Outcomes

Activity	Short-term Outcomes (Illustrative)	Intermediate Outcomes (Illustrative)
Guide vision and strategy	Partners share a common understanding of the need and desired result	Partners' individual work is increasingly aligned with the initiative's common agenda
Support aligned activities	Partners increasingly communicate and coordinate their activities toward common goals	Partners collaboratively develop new approaches to advance the initiative
Establish shared measurement practices	Partners understand the value of sharing data	Partners increasingly use data to adapt and refine their strategies
Build public will	Guide vision and strategy	More community members feel empowered to take action on the issue(s)
Advance policy	Partners increasingly communicate and coordinate their activities toward common goals	Policy changes increasingly occur in line with initiative goals
Mobilize funding	Funding is secured to support initiative activities	Philanthropic and public funds are increasingly aligned with initiative goals

proached these key activities. Yet, as we've learned by looking across the cohort, each organization engages in these activities to different degrees and in different ways, depending on the context and capacity of the organization and the scope and maturity of the initiative.

Why It Matters: Expected Backbone Outcomes

When asked how they know their work is making a difference, backbone leaders almost always talk about evidence of moving the needle on big community indicators, such as increasing the percentage of young people who enter kindergarten ready to learn. In fact, these six organizations already track progress on "big picture" indicators on behalf of their partners. But the focus of the GCF evaluation has been different.

Individual interviews and group working sessions generated the short-term and inter-

mediate outcomes that could demonstrate the influence of backbone organizations' activities on results of the collective impact *process*. Defining backbone process outcomes was an important step to tie the influence of their work to long-term initiative- and community-level outcomes. Some examples of expected outcomes generated by backbone organizations are listed above.

Based on the common activities and outcomes we defined, FSG asked external stakeholders and the backbone leaders themselves to assess their activities and contributions in each of the six areas, including the relative importance of each area, and to tell us what difference the backbone organizations had made in their respective collective impact efforts. Because assessing poses a significant challenge for many backbone organizations, FSG asked their stakeholders to complete the sentence, "If not for *x* backbone organization, *y*, *z* would not have hap-

² *Community of practice* is defined as a group of people with common professions or interests that convene with the goal of gaining knowledge related to their field. It is through the process of sharing information and experiences with the group that the members learn from each other, and have an opportunity to develop themselves personally and professionally. (Adapted from Wikipedia, http://en.wikipedia.org/wiki/Community_of_practice)

pened in our community.”

Through surveys and interviews, we gathered compelling data. And as we completed the baseline analyses this spring, we grew excited to share the illuminating perspectives of roughly 130 stakeholders with the backbone leaders.

III. RESULTS OF INQUIRY: WHAT WE LEARNED

We heard many valuable perspectives on the backbone organizations’ work from partners, funders, advisors, and community members. Our key insights are summarized below.

1. Their value is unmistakable. If not for the backbone organizations’ contributions, stakeholders believe that “even more decisions in our community would be made by a small group of folks,” “communities would be simply in survival mode,” “the public wouldn’t have near the understanding of the challenges,” and “there wouldn’t be any coordinated program at all.” As one stakeholder said, “If they weren’t asking the right questions, we wouldn’t be [where we are today.]” In essence, individual organizations could not do the work of collective impact without backbone support. These representative comments help the backbones articulate their value and purpose to stakeholders.

2. GCF’s backbone cohort shares strengths in guiding vision and strategy and supporting aligned activities. All six backbone organizations received the highest marks for their effectiveness in these core areas. Interviewees said: “Prior to the establishment of [the backbone organization], our community lacked a collective direction for our region,” and “[the backbone organizations] bring a lot of people together; they are out understanding what activities are going on and how to align them.” The backbone leaders have been attentive to delivering value to their partners in these areas and are likely to

continue to do so to maintain momentum. Furthermore, **some backbones were also recognized for mobilizing funding**, as exemplified through their success winning a Social Innovation Fund grant and other national funding opportunities.

3. Backbone organizations shift focus over time. By and large, this cohort of six backbone organizations has not yet placed a great deal of emphasis on *building public will* or *advancing policy*, but all expect to

In essence, individual organizations could not do the work of collective impact without backbone support.

increase their time allocations and capacity in these areas in the future. Backbone organization leaders and their stakeholders alike feel that there is a natural progression from *guiding vision and strategy*, *supporting aligned activities*, and *establishing shared measurement practices*—all “inner circle,” partnership-focused activities—to gradually building toward broader externally-focused, community-level activities. For many, attention is beginning to shift to incorporating more external-facing activities into their work.

4. Backbone organizations’ partners need ongoing assistance with data. Although *establishing shared measurement practices* was seen broadly as a strength of many of the backbone organizations, building part-

ners’ capacity to contribute and use data in a shared measurement system is a common area for improvement. As one partner described, “We do not have enough manpower to input data.” Backbones with limited staff capacity found it particularly challenging to consider taking on a greater technical assistance role in this area.

5. External communications, building public will, and advancing policy are common backbone challenges. We heard many stakeholders encourage the backbone organizations to improve communications about their own value and progress on the initiative. For example, we heard that “people don’t know what is being accomplished,” and “it’s hard to know how much progress they are making against their goals.” This mirrors the challenge we mentioned in Part I around articulating the backbone organizations’ value. In addition, stakeholders spoke of the need to build a more intentional strategy around public will and advocacy: “Even if there is not a lot of money available, to shape the public mind as to what the issues are is terribly important.” Most of the backbone organizations recognized that these areas needed additional attention and capacity, though they were also reluctant to place too much emphasis on advocacy without a clear opportunity to advance policy in a specific, targeted area.

While evaluation findings revealed many commonalities across backbone organizations, there were also several organization-specific challenges. For example, one organization has been pulled in too many directions and is now likely spread too thin to be very effective in all areas. Another needs to enlist more partners representing a broader cross-section of the region in order to effectively tackle the scope of the initiative. As GCF and the backbone leaders considered the relative

For those who are considering how to undertake or support a collective impact initiative, one fundamental truth about backbone effectiveness is that its leader can make or break the organization's success.

importance of the messages emerging from the data, we started to identify the contextual nuances that can affect backbone performance, such as:

- The **phase** of the collective impact initiative (for example, whether the backbone is helping to initiate action, organize for impact, or sustain action and impact)
- The **capacity** of the backbone organization (for example, headcount, areas of expertise, financial resources)
- The **geographic reach and scope** of the collective impact effort (for example, one neighborhood versus a three-state region, early childhood learning versus community development)
- **Structural** opportunities and constraints created by a parent organization (for example, independent nonprofit versus program underneath a local chapter of a national network of organizations)

For many backbone organizations, the evaluation findings confirmed and clarified what

they instinctively knew already about their work. FSG's independent work had the additional benefit of providing a vehicle and forum for sharing the backbone organizations' stories, raising awareness about common issues, and generating learning opportunities. The findings from our baseline assessment launched us into our hoped-for community of practice,² and a new set of opportunities for learning and technical assistance over the coming months.

IV. WHAT NEXT? LEADING AND LEARNING INTO THE FUTURE

When GCF invested in supporting the core budgets of six local backbone organizations over a period of five years, the Foundation also undertook a broader effort to support evaluation and develop a community of practice for these grant recipients. Since January 2012, GCF and FSG have been focused on launching the latter effort.

A key question guiding our evaluation has been: How and to what extent are backbone organizations effective catalysts for achieving community-level progress? In FSG's previous work on collective impact, reported in "Channeling Change," the "intangibles" of the work—a key one is *leadership identification and development*—can be incredibly important in driving the progress of an initiative. In our baseline data collection, stakeholders shared with FSG their deep convictions and heartfelt sentiments about the backbone leaders they know best. In aggregate, the synthesized feedback confirmed a compelling picture of the importance of effective leadership among backbone organizations and the potential of collective impact overall (See text box).

For those who are considering how to undertake or support a collective impact initiative, one fundamental truth about backbone effectiveness is that its leader can make or

break the organization's success. This component of the evaluation captures some of the intangible "secret sauce" that helps us understand the backbone role going forward.

As the GCF-FSG team looks back on our process, we heavily front-loaded the first six months of developing the evaluation and technical assistance aspect of GCF's funding initiative in order to ensure that it was built on a solid foundation. We established a community of practice with the cohort of backbone organizations. We developed the common theory of change across backbone organizations, as well as individual logic models. We conducted the baseline assessment of each

Common Characteristics of Effective Backbone Leadership

Visionary "In addition to setting the agenda items, she has a very clear vision of where we need to focus and has the ability to drive focus towards those."

Results-Oriented "This is a really results-oriented staff, and they are constantly pushing the community and all of us to not just talk about something, but to act on it."

Collaborative, Relationship Builder "[Her] style is a collaborator, consensus builder, she works very well with partners. We do a good job with making everyone feel like they're important."

Focused, but Adaptive "[There is a] combination of laser focus, a willingness to listen to almost any idea, [and an ability to] cut to the chase and not act on every idea. They are so focused on being sure that whatever is done is focused on the end goal."

Charismatic and Influential Communicator "[She] is extraordinarily articulate and passionate about her work and...she is a true leader in the field."

Politically Savvy "Probably a little political savvy, and more of an ability to filter what they say than I have. [He] understands when to listen."

Humble "[He] sees himself as a 'servant-leader'."

SOURCE: FSG INTERVIEWS

2. *Community of practice* is defined as a group of people with common professions or interests that convene with the goal of gaining knowledge related to their field. It is through the process of sharing information and experiences with the group that the members learn from each other, and have an opportunity to develop themselves personally and professionally. (Adapted from Wikipedia, http://en.wikipedia.org/wiki/Community_of_practice)

backbone organization. And we established a shared learning agenda to provide ongoing technical assistance. Now we can step back, take a deep breath, and reflect on what's next.

For GCF, the Foundation plans to continue to “learn in public,” as Beth Kanter says,³ by sharing the lessons we learned with local funders and other community partners. One way GCF plans to do this is by convening a local community conversation around collective impact this fall. In Cincinnati, the community has been so busy doing collective impact that leaders haven't actually stepped back to reflect on the mechanics or importance of the work. The purpose of the community convening is to make sure that everyone is on the same page about what collective impact is, to share how GCF and the backbone organizations are using the model to drive change, and to discuss and solidify everyone's role in advancing the work. GCF will bring together the boards, volunteers, and partners of GCF and other funders, as well as the backbone organizations, to establish a common understanding of collective impact.

GCF also plans to share this learning with the field, initially via publications, such as *Stanford Social Innovation Review*, social media channels, conference presentations, and perhaps ultimately through a more formal white paper. Besides sharing what we have learned, GCF also needs to hone its communications and messaging about the approach. The Foundation needs to succinctly answer the questions: What are we doing? Why are we doing it? What do we expect success to look like? GCF is off to a good start answering the first question through a slide presentation and video⁴ that adopts a rowing metaphor to communicate what the model looks like, and specifically, to provide greater detail about each core tenet in the model. We found that this subject matter is complicated and tends to be very heavy on jargon, so the Foundation will continue to make an effort to improve in

Less than six months into the development of the community of practice, we are already seeing synergy across groups.

its own communications. Together with FSG, GCF has also developed a reporting template and dashboard that will help easily communicate results of the funding initiative.

GCF's backbone grant recipients are already using what they've learned to inform and improve their work. Each has taken results back to their governing leadership, partners, and core supporters to discuss the implications their evaluation results have for their work. One backbone organization is challenging its current evaluation process and looking to collect more granular, neighborhood-level data. It has also researched best practices on effective communications strategies to show both quantitative and qualitative results, and has hired a communications team to develop a communications plan. Other backbone organizations are using the six core activities framework to help align their organizational structure around each activity area, and ensure that key activities are otherwise properly resourced.

Less than six months into the development of the community of practice, we are already seeing synergy across groups. Vision 2015, Agenda 360, Partners for a Competitive Workforce, and the Strive Partnership are working together on a labor market study

called “2020 Job Outlook.” Four backbone organizations will share resources—leadership, connections, and cash—to develop a dataset that can drive the region's collective vision and goals on job training and educational attainment. This example shows true partnership with a common agenda, driving a high impact regional initiative together.

The role of GCF in supporting collective impact also continues to evolve and grow. GCF provides support primarily through its grantmaking and capacity building support of backbone organizations. It has also been a partner in mobilizing funding by aligning its community investment framework⁵ with widely adopted community initiatives. And GCF has collaborated with United Way of Greater Cincinnati to lead the community dialogue around further refinement of shared community outcomes and measures

FSG plans to expand the depth of its support for those groups pursuing collective impact by further exploring what it means to be a backbone organization. FSG also has other research efforts underway to develop insights on shared measurement, the role of funders, and the role that collective impact plays in addressing the complexity of social change. Our work in Cincinnati was discussed at the annual conference of the American Evaluation Association in October 2012.

With this incredible cohort of backbone leaders fully engaged in a community of practice, we now embark upon our next phase of work. We hope that the rationale, process, and results of our experience to date will resonate with other funders and practitioners who are making similar investments and facing similar opportunities and challenges. Creating large-scale systemic change via collective impact is a long-term proposition. Both GCF and FSG are dedicated to providing continued knowledge and tools for Cincinnati and other communities to help speed progress along the way.

5. Beth Kanter, *Learning in public on wikis*. <http://www.bethkanter.org/learning-in-public/>

About the Authors



Shiloh Turner is Vice President for Community Investment at The Greater Cincinnati Foundation, and is responsible for all facets of its charitable investment. She was previously director of Health Data Improvement with the Health Foundation of Greater Cincinnati and vice president of Programs at the Erie Community Foundation. She can be reached at turners@gcfdn.org.



Kathy Merchant has been President/CEO of The Greater Cincinnati Foundation since 1997. She was previously director of The Pew Charitable Trusts' Neighborhood Preservation Initiative and a partner in the New Haven-based consulting firm Holt, Wexler & Merchant. She can be reached at merchantk@gcfdn.org.



John Kania is a managing director at FSG, where he oversees the firm's consulting practice. Before joining FSG, he was a consultant at Mercer Management and Consulting and Corporate Decisions Inc. He can be reached at john.kania@fsg.org.



Ellen Martin is a senior consultant at FSG, where she advises foundations, corporations, and nonprofits on strategy development, and strategic learning and evaluation. She also serves on the advisory board of the Global Social Venture Competition. She can be reached at ellen.martin@fsg.org.



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SMARTER RELATIONSHIPS, BETTER RESULTS

Making the most of grantmakers'
work with intermediaries

Grantmakers often work with intermediaries to extend their impact. This publication offers insights from intermediaries and grantmaker practices that help or hinder their effectiveness.

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INTRODUCTION

Ending family homelessness in the Puget Sound area is a core objective of the [Melinda Gates Foundation](#). Since 2000, the foundation's Pacific Northwest Initiative has worked with private and public partners to bring extensive resources to bear. Preventing homelessness of children and their families is no small challenge, but our partners are devoted to making it happen. Serving as the foundation's closest advisor and the network connector of this ambitious effort is an intermediary organization, [Building Changes](#).

Why is an intermediary organization at the heart of the foundation's regional signature strategy?

"The short answer is: we're not an operating foundation, so we don't, by definition, roll up our sleeves and do all the work in the field ourselves," says David Wertheimer, deputy director of the Pacific Northwest Initiative. "The longer answer is: because we're not an operating foundation and aren't creating internal infrastructure, we have to figure out how best to engage with the community to promote systems change. You can't just ask different systems to change. A change agent or boundary spanner is essential — resources must be targeted to the work of making change happen. This is the essence of Building Changes' intermediary role."

The Gates Foundation works with other local intermediary organizations, including Thrive by Five on an early learning project, and Philanthropy Northwest for a project to build the capacity of community foundations. But the partnership with Building Changes is its largest and most significant. Building Changes brings together three sectors — philanthropy, government and service providers — to align funding, share best practices and advocate for policy change. Along with technical assistance, advocacy and evaluation, it is a regranter — awarding \$3.3 million in fiscal year 2019.

Building Changes required, requested and received funds to build its own capacity. Alice Shobe, Building Changes' executive director, described why this additional investment was essential. "When we first negotiated with Gates seven years ago, we talked with their other intermediaries. They said: don't underestimate what they are asking you to do. Ask them for the support you'll need to do it. So, we asked the foundation to pay for doubling our space as we doubled our staff, to pay for business planning and related organizational development, and, in anticipation of a different future (Gates support is a large portion of our annual budget, which isn't sustainable), we also negotiated matching money to help us transition to a new funding model. If we had not taken these steps, meeting the foundation's wishes would have flattened us long ago." Wertheimer said this funding "represents some of Gates' best efforts to promote the capacities and alignment of our partners — vital measures for tackling what are too often considered intractable social issues."



Grantmakers often rely on intermediary organizations when they need help making grants — whether on issues that are new or unfamiliar, in communities where they lack meaningful connections, to fund charitable groups that are challenging for a foundation to support directly, or to coordinate co-funding arrangements. Intermediaries receive funding to regrant and, often, to provide a host of services to nonprofits, communities and the grantmakers themselves. A Grantmakers for Effective Organizations survey of 28 intermediary organizations found that most are satisfied with their partnerships with grantmakers.¹ But the intermediaries also identified grantmaker practices that can hinder the way of their effectiveness and, by extension, jeopardize the aims of the funders they have engaged them.

This briefing is for grantmakers who want to understand how grantmaking intermediary organizations — some of whom consider themselves grantmakers first and intermediaries second — operate and view their work with funders. In it, we suggest ways that grantmakers can increase the odds that their partnership with intermediary organizations will be consistently productive and share recommendations from intermediaries about how grantmakers can ensure that intermediaries can apply their best efforts on the funders' behalf. Above all else, grantmakers must craft and sustain the most appropriate relationships with the intermediaries with whom they work.

¹ GEO's 2012 survey was sent to 57 intermediaries; 28 organizations completed the survey. The findings from a 2008 survey by Fieldstone Alliance of 43 intermediaries are strikingly congruent.



WHAT ARE REGRANTING INTERMEDIARY ORGANIZATIONS?

Regranting Intermediary Organizations Defined

When grantmakers turn to intermediary organizations to serve as regranters, they should carefully consider what expertise they need and seek out intermediaries with those qualifications. Depending on the tasks to be accomplished, one or more of the following kinds of intermediary expertise and skill may be essential:

- **deep expertise** in one or more specific issues or places, such as organizing for reproductive justice in the U.S. or protecting the Pacific Ocean;
- **well-established** relationships with specific nonprofits or community groups, such as AIDS/HIV-focused policy or advocacy agencies in the U.S. South;
- **a proven grants strategy**, such as well-developed scouting that identifies emerging groups that are prospective grantees;
- **grantmaking skill**;
- **organizational capacity** to manage money, often including the ability to manage a large number of small grants; and
- **ability to manage multiple, often complex relationships.**

Intermediaries interface between the grantmakers that fund them and the ultimate beneficiary: on-the-ground grantees — usually nonprofit, community or nongovernmental organizations. Many times, intermediaries reach smaller grassroots organizations that have a difficult time being known to foundations or, for various administrative or logistical reasons,² have a hard time receiving funds from U.S. foundations.

An intermediary's competencies and capacity can allow a foundation to keep its operations lean while still addressing issues and places that matter but that it would otherwise be able to address.

There are many kinds of intermediaries. Individuals (consultants) can fill an intermediary role, as can organizations, both nonprofit (including public foundations, donor-advised funds, funders collaboratives and certain philanthropic advisors) and for-profit. This briefing focuses on regranting nonprofit intermediary organizations. Some were created to be intermediary organizations, while others include work as intermediaries as a secondary line of business that helps advance their main agendas.

The terms **“grantmaker”** and **“intermediary organization”** are not mutually exclusive (though this briefing will use them as though they were, for simplicity's sake). Public foundations often serve in both capacities, raising unrestricted dollars as well as serving as an intermediary function for other funders. [The Proteus Fund](#) and [Ms. Foundation for Women](#) are two examples of organizations that are both grantmaker and intermediary. In co-funding or collective impact efforts, intermediary organizations are also sometimes called “backbone organizations.”

² Examples are a program that isn't established as a recognized nonprofit and charitable organizations outside the United States.

The Role of Intermediaries in Co-Funding and Collective Impact Initiatives

Grantmakers are taking a renewed interest in co-funding and “collective impact” efforts, and they are turning to intermediaries for support. In these scenarios, intermediaries (referred to as “backbone organizations” in FSG’s “[Collective Impact](#)” article) often play a critical role in managing relationships in addition to grantmaking. The intermediary helps facilitate the development of a shared vision and strategy among participating grantmakers and other stakeholders.

[The Challenge Fund for Journalism](#) initiative was born of a group of funders who shared an interest in supporting high-quality reporting from nonprofit media organizations and helping these groups strengthen their fund-development capacity and achieve long-term sustainability. TCC Group served as the intermediary for the initiative, managing all aspects of the program, including the application and screening process, preparing recommendations, grants management and monitoring grant compliance. In addition, the Group coordinated and facilitated the capacity-building assistance grantees received as part of the initiative.



UNDERSTANDING HOW INTERMEDIARIES WORK

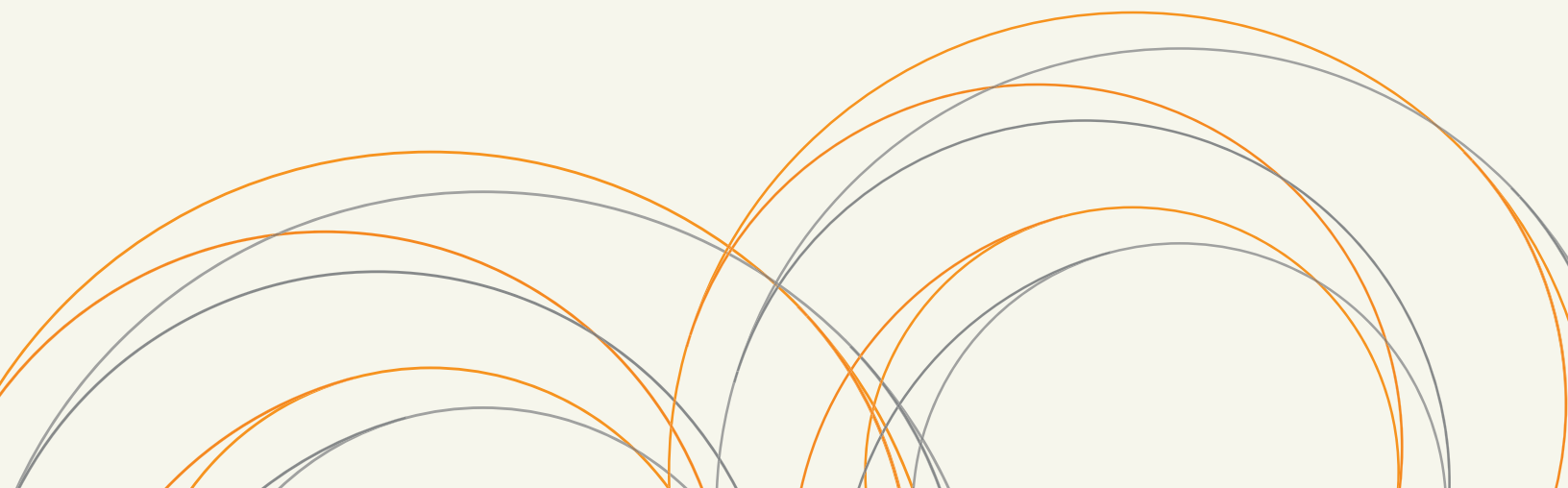
Intermediaries are complex entities, often engaging in diverse activities, juggling revenue sources and managing complicated relationships with grantees, donors, and funders. Understanding their many moving parts helps grantmakers relate to them respectfully and appropriately.

Most intermediaries have complex revenue sources. One example is the [Global Fund for Children](#). It solicits and receives annual support in the form of corporate and foundation grants, but it also raises money from individuals (through direct solicitation, mail appeals and special events) and earns revenue (from book sales, rental income, and investments). Many intermediary organizations have a dozen or more funding sources, which can also include government and philanthropic advisors.

Intermediaries typically are engaged in a range of diverse activities. In addition to regranting, many also help build the capacity of their grantees and engage in field building activities — which can include coordination, convening and training across the field or building infrastructure that strengthens an area of work. [The BEST Project](#) in Flint, Mich., for instance, provides grants for technical assistance and capacity building to local groups. It also offers organizational assessment services, a nonprofit leadership

institute and nonprofit management assistance. Other intermediaries conduct evaluations and research, manage funder initiatives and provide fiscal sponsorship or back-office administration to benefit other nonprofits. As a result, they are also relationship brokers, a skillset that is particularly critical when projects include multiple collaborating funders. Like other nonprofits, intermediaries typically receive restricted grants or, less often, contracts to support specific projects. However, in some instances, intermediaries may also receive general operating support. Occasionally they seek and receive grants that augment their own capacity, as has been the case for Building Changes.

Intermediaries are active in the United States, with many also working in Asia, Africa, and South America, and less commonly in other parts of North America and Europe. [The Women's Funding Network](#) supports and connects 160 women's funds — public and private foundations and funds within community foundations — from Arizona to Wyoming and from Bangladesh to South Africa.



Grantmakers Turn to Intermediary Organizations When They Need or Want To:

- disburse money — often, large sums to be distributed as smaller or specialized grants;
- tap a skill set, knowledge or technical capacity that doesn't exist within the foundation;
- place development and management of a foundation initiative in external hands;
- benefit from an independent perspective or place-based expertise;
- work with other funders in a grantmaking collaborative;
- acquire credibility by associating with an expert; or
- try out a strategy used by an intermediary.

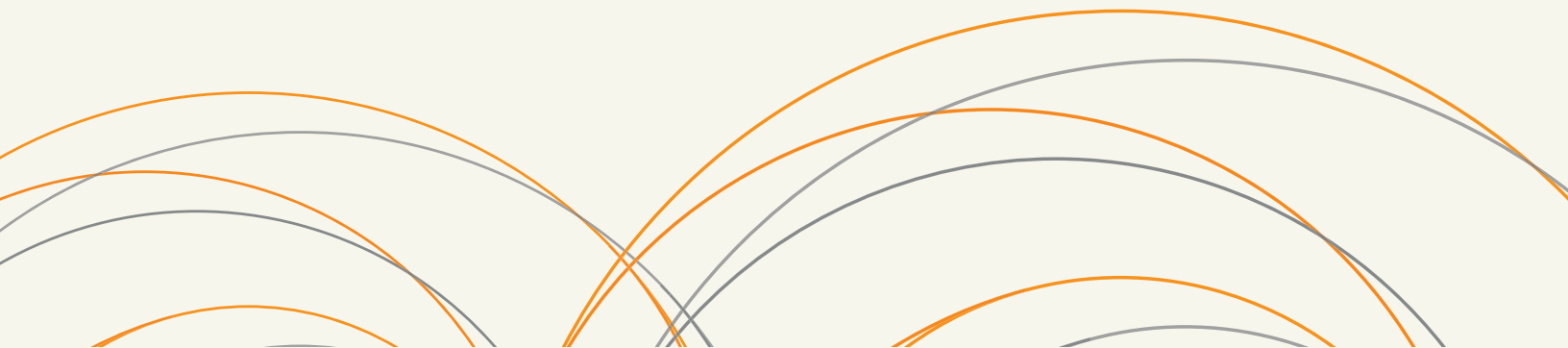
Regranting via an Intermediary Organization Can Help Grantmakers To:

- mitigate risk or provide cover for potentially controversial grants,
 - demonstrate a segregation of responsibilities between the source of funds and the regranter,
 - ease a foundation's exit from a funding program, and
 - reduce the funder's overhead.
- 

MAKING THE MOST OF THE RELATIONSHIP ADVICE FROM INTERMEDIARIES

When asked, intermediaries report that they are generally happy with the work they do with grantmakers. They are able to apply their particular expertise — their value proposition — most or some of the time. Relationships with grantmakers are often strong and grounded in shared expectations and understanding. Intermediaries say that most of the time there is a clear role definition between them and their grantmaking partners.

Intermediaries also had a great deal to say about how grantmakers sometimes inadvertently make it challenging for them to bring their best work forward and about how grantmakers can best augment the intermediaries' effectiveness. Many identified issues related to funding as significant problems, with inadequate or inflexible funding limiting intermediaries' impact. A leader of one highly regarded intermediary said, "All our funding is for programs, not for core support. It's hard for us to take leaps forward."



Unanticipated, midstream changes at foundations also prove challenging for intermediaries. More specifically, intermediaries pointed to difficulties when shifting funding priorities follow leadership transitions and the disruptions in continuity and understandings when a lead foundation contact to an intermediary departs the

The great majority of comments about hindrances were about relationship prob

“These relationships are a two-way street. It takes developing trust, understanding organizational vision, mission, and values, and an honest assessment of each [throughout] the duration of the working relationship — and that takes time, commitment, and resources — GEO survey respondent



Intermediaries urged grantmakers to use the following practices to support intermediary effectiveness:

1. Create and maintain relationships carefully designed to meet the needs and expectations of grantmaker and intermediary organization. “Spend as much time as needed to ensure you have the information needed to structure an effective grant investment,” is how one intermediary summed up what many said is a best but not universal practice.

2. Once relationship and strategy are set, focus on the big picture while exercising fiduciary responsibility. An intermediary leader wrote, “Once expectations have been clarified, processes have been described, and agreements have been reached, we expect confidence and trust from our funders in our capacity to implement the projects successfully.” Another urged grantmakers to “focus on the higher order goals, results and learning, not individual grants.” Micromanagement undercuts trust and interferes with the intermediary’s ability to act. If very close monitoring and reporting feel necessary, question why that is so, and confront concerns directly.

3. Put the foundation’s needs and preferences in context with those of partner organizations. Intermediaries ask that funders be flexible and receptive to changing conditions in the field and ask for budgeting and reporting requirements that are not cumbersome. They ask grantmakers to be willing to find alternatives to standard practices that are responsive to the intermediary.

4. Dedicate sufficient time and construct frameworks and a schedule for regular, explicit and productive communication for the duration of the relationship.

The partnership between Building Changes and the Gates Foundation includes a series of standing meetings, with specific goals and designated participants, each designed to ensure continuous exchange, consultation, accountability and learning.

5. To reap the benefits of the intermediary's expertise, listen to and learn from on-the-ground perspectives.

Invite and apply candid feedback. Regranting intermediaries usually view themselves as grantmaking peers as well as grantees. As a result, they speak more directly to and question their grantmakers in ways that other grantees don't — they can offer unusual and precious access to honest assessment and feedback. Meaghan Calcari Campbell of the [Gordon and Betty Moore Foundation](#) commented, "I've found that I have very good relationships with my grantees, and though [Tides Canada](#) is both an intermediary and my grantee, I feel I get independent, straight information from the grantees. Other grantees are open — they call me when things are going south, but there's a natural inclination to gloss over the bad stuff. Tides Canada provides an independent, straight voice of what's going on, on the ground."

6. Be a steady partner. Changes to agreements in the midst of a project can stall progress and undercut the intermediary's work. When change is unavoidable, provide candid information and seek to jointly problem solve.

7. Support the intermediary organization's capacity as an essential step to building the field you are committed to. Provide adequate funding for the work. Introduce intermediaries to other grantmakers with similar interests. Consider flexible funding and a range of kinds of support: general operating, multi-year grants and grants for organizational development, including support for building the capacity of intermediaries and for strategic planning. An intermediary commented, "Outcome-focused funding, rather than program-focused — a willingness to invest in our capacity — truly supports our effectiveness."



THREE GRANTMAKER-INTERMEDIARY RELATIONSHIP MODELS

“Sometimes it’s not clear what our role is as intermediary.” — GEO survey respondent

An appropriate relationship, well structured and tended, is the most important way that grantmakers can enhance intermediary effectiveness — and as a result, their own.

No single form of relationship suits every instance of grantmaker and intermediary’s work together. Many variables influence the nature of the relationship, including the duration, the scope of work to be accomplished, the organizational culture of both parties, the urgency of the program or project, both parties’ familiarity with the business at hand and the level of efficiency that the grantmaker seeks. It’s when grantmakers — or intermediaries — are not intentional about the choices they make that things go awry.

We offer three models of grantmaker-intermediary relationships for funders to consider as they determine their needs and preferences and have explicit conversations with prospective intermediary organizations: **outsourcing, autonomous and partner**

OUTSOURCING

The outsourcing model works well for grantmakers who need specific tasks done by an qualified entity. The grantmaker may have the proficiency and expertise needed to do the work but simply lack the time or immediately available staff resources. Or the grantmaker may need an intermediary on the ground in a place where it can't otherwise quickly react. In the outsourcing model, the grantmaker seeks an intermediary with a compatible grantmaking strategy. Often the emphasis is on speed, and the grantmaker most values an intermediary organization's technical ability to conduct due diligence and its organizational capacity to deliver the grants, while the intermediary's other expertise and skill are not as important. A classic example is post-disaster relief in a part of the country or world not well known to a grantmaker.

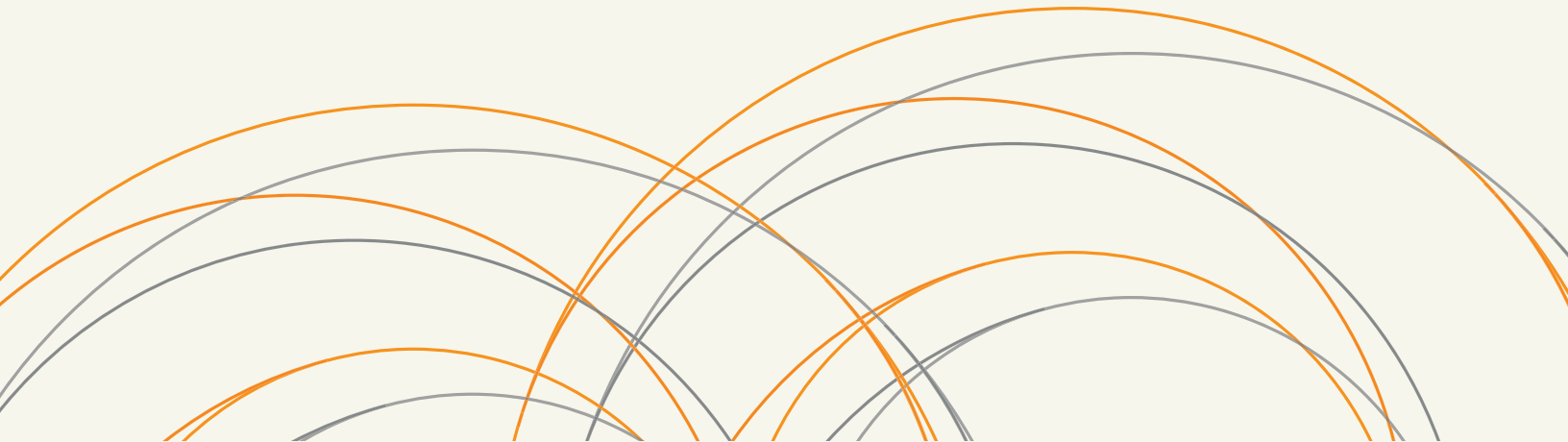
The outsourcing model is more transactional than relational and is usually time limited; in its simplest form, it is sometimes referred to as "pass-through" grantmaking. However, grantmakers must be sure to adhere to IRS rules to avoid earmarking. David Crook, development director of the [STARS Foundation](#), an intermediary that provides unrestricted grants to strengthen effective organizations, commented, "We are careful to gain mutual understanding of the strengths and limitations of the approach that we offer as an outsourcing solution to other grantmakers." Some intermediary organizations choose not to serve as intermediaries when the relationship is purely transactional, because they prefer to add intellectual or strategy value.

3 "When a grant is earmarked for a particular individual or organization, the IRS is free to disregard the existence of an intermediary organization and consider the grant as made directly to the ultimate recipient. Earmarking is defined as any oral or written understanding that a grant will be spent in a particular fashion. According to the IRS, a charity cannot be a "mere conduit" through which contributors' cash flows. Rather, the charity must exercise discretion and control over those contributions for the IRS to consider them gifts to the charity — not some entity further down the line." Jane C. Nober, "Fiscal Agency Versus Fiscal Sponsorship," *Foundation News and Commentary* 45, no. 6 (2004).

AUTONOMOUS

The autonomous model is used by grantmakers who want to tap more dimensions of an intermediary's proficiency and who want to do so with limited investment of their time. In this model, implementation is largely in the hands of the intermediary, who reports on progress at agreed-upon intervals to the funder. Initially, both parties may engage in discussion and joint decision-making as grants or a grant program are designed, but autonomous relationships work best when the grantmaker is interested in trying out the intermediary's grants strategy and believes the intermediary has the capacity to find solutions and get money to the ground that the grantmaker couldn't.

A grantmaker described the value of an autonomous relationship: "The intermediary has expert staff with experience in areas I grant in, and the staff have relationships on the ground and can also help connect me to people I don't know. They have been good advisors to me and other donors, and can provide a face administratively. It doesn't take a lot of time and effort on my end."



After the Deepwater Horizon/BP oil spill in the Gulf Coast in 2010, an anonymous funder sought assistance from [Rockefeller Philanthropy Advisors](#) to award \$20 million on its behalf for Gulf Coast recovery grants. RPA met with local funders, leaders and community organizations to identify the most pressing needs for the region. RPA then created a grantmaking program that awarded funds to community foundations in hard-hit states, which in turn used their community expertise to allocate funding to local nonprofit groups. In contrast to the outsourcing model, in this relationship RPA's guidance and on-the-ground assessments shaped the funder's strategy. RPA then developed the project and provided the skills needed to identify, appropriately fund and evaluate the impact of competent grantees.



PARTNERSHIP

In the partnership model, a grantmaker draws on the knowledge and capacities of the intermediary, with more frequent and intense grantmaker-intermediary engagement over the course of the relationship. Authority and tasks are differentiated, but the partners co-create. It is often a longer-term, more complex program or portfolio. As in the autonomous model, the intermediary contributes strategic and tactical value, beyond simply carrying out the grantmaker's vision. However, shared development and direction mean that intermediaries exercise less influence in a partnership model. The relationship described earlier between the Gates Foundation and Building Changes fits the partnership profile.

Partnership model relationships are both rich and potentially complex. They may involve multiple partners from different sectors with complementary strengths and interests. Campbell of the [Resources Legacy Fund](#) — an organization that engages foundations and philanthropic institutions to design and execute large-scale conservation initiatives — described what a multifaceted intermediary can bring to a partnership model: “When it works best, the relationship is one of peers who bring different assets to the table. An example, RLF brings programmatic, policy, and political expertise, related to conservation, that the foundations that fund it don’t likely have in-house. RLF provides value to its foundation partners by significantly augmenting their capacities in particular areas.”

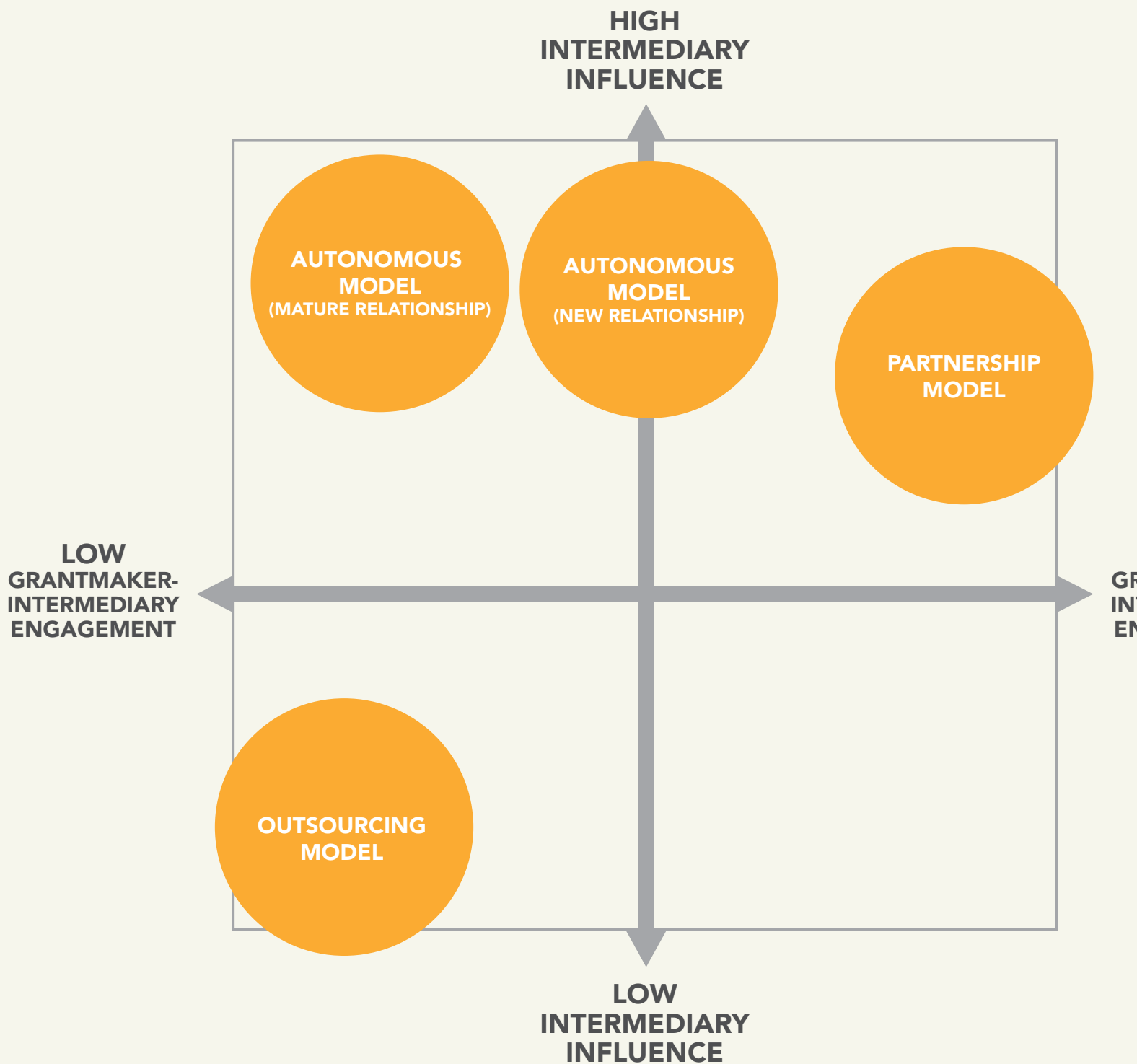
"We identify strategic opportunities; draw on our staff, consultants, networks for perspectives and expertise; and help frame and advance specific, measurable outcomes."

– Marty Campbell, Resources Legacy Fund

Many intermediary organizations describe their preferred relationships as "partnerships." But the degree of engagement required to collaborate and the number of grants received from intermediaries suggest that this aspiration must be thoughtfully managed. The most successful intermediaries are engaged in relationships that range along a continuum of involvement with grantmakers. This is true for intermediaries serving as backbone organizations or those engaged in co-funding initiatives as well. Many intermediaries have some grantmaking partners who are very closely involved and others who contribute dollars but don't operate or participate; they simultaneously engage in an array of models in response to funders' needs and interests. Likewise, a grantmaker would be challenged to be deeply engaged with more than a few intermediary organizations at a time.

The models are not as perfectly distinct in practice as implied. Rather they play out along a relationship spectrum. Over time, relationships may evolve, so what began as a transactional outsourcing relationship, if all goes well and the need arises, may be reshaped as an autonomous or partnership relationship. The models are offered to help grantmakers think about what they are seeking in their work with intermediaries and what their options are for working in tandem.

A grantmaker's choice of one model over another hinges on two important considerations: grantmaker-intermediary involvement and intermediary influence.



CHOOSING A MODEL

Various other factors also influence choices about which model will best fit the situation — including the parties' roles, value proposition of the intermediary, social work, intended outcomes and benefits and downsides of each model to the grantmaker. The chart below highlights some relevant elements.

Roles

OUTSOURCING

- Grantmaker directs.
- Grantmaker defines strategy.
- Intermediary is an extra pair of hands.

AUTONOMOUS

- Both sides bring important assets.
- Grantmaker and intermediary co-create strategy and working agreement.
- Intermediary takes the lead, reporting about its work and what is being learned and offering feedback at defined intervals.
- Grantmaker monitors, provides feedback, intervenes if problems arise and evaluates outcomes/impact.

PARTNERSHIP

- Intense engagement continues at a strategic level and may focus on large-scale initiatives (vs. projects or programs).
- Heavy on continuing consultation and collaboration, from design and throughout execution.
- Frequently includes other, sometimes diverse partners.
- Once strategy and goals have been set, tactics are typically defined by the intermediary.
- Multiyear commitments between grantmaker and intermediary are common, especially when investments are large.
- Partners' selective use of one another's brands can add significant strategic muscle.

Intermediary value proposition

OUTSOURCING

- Technical skill and organizational capacity (often administrative) of capable intermediaries.

AUTONOMOUS

- A point of view and specialized skills, knowledge or reach.
- Grantmakers may use multiple intermediary services (e.g., regranteeing, incubation of new organizations and policy advocacy).

PARTNERSHIP

- Same as autonomous; intermediary is a collegial, strategic thought partner and co-actor.
- Grantmakers may also draw on 501 (c)(4) expertise (such as lobbying) and contract for services from for-profit entities (such as legal skills) that some intermediaries can provide

Scope

- Narrower, shorter-term, though may represent significant dollars from grantmaker.

- More expansive. Time span varies.

- Most expansive and longer term.

Possible outcome(s)

- Specific, narrowly defined regranteeing accomplished on behalf of grantmaker.

- Money is moved to heretofore unreached locations or to groups grantmaker can't effectively identify or vet.
- Alternately, may be part of a grantmaker's exit strategy.
- A new grantmaking strategy is tested by the grantmaker.
- Donor learns from intermediary's experience.
- Intermediary has more resources to advance its mission.

- Grantmaker and intermediary seek significant impact from longer-term, deeper work together. Targets may include policy or other systemic change on which both parties can train resources.

Benefits to grantmaker

OUTSOURCING

- Efficient disbursement of funds.
- Outcome likely to precisely conform to grantmaker's specifications.

AUTONOMOUS

- Extends donor skills, knowledge, human capital or reach needed to meet objectives without additional staffing.
- Grantmaker can learn from intermediary (to add competencies to staff later on or to inform future work).
- May be cost-effective and efficient.

PARTNERSHIP

- A grantmaker that invests intensive with time and money in an intermediary with substantial expertise can generate a breakthrough advance in the grantmaker's strategic interests.
- Intense engagement advances donor learning.

Downsides for the grantmaker

- Danger of tripping over IRS earmarking rules. (A fee-for-service contract could be appropriate but would increase foundation's administrative costs.)
- Little learning to be gained.
- Least satisfying to many intermediaries because requires little of their added value, so choices for grantmakers may be limited.

- Often requires substantial time to develop and manage relationships (though this decreases as relationships become more trusting).

- Ongoing collaboration requires a significant and often steady time commitment by grantmaker and intermediary.
- Substantial investment places a premium on significant accomplishment. Anything less may be viewed as a wasteful failure.



What, then, is the right relationship between an intermediary and a grantmaker? one based on clear-eyed and explicit assessment by both about what is wanted needed from this specific relationship and a clearly articulated, shared commitment jointly agreed-upon results. (As Shobe of Building Changes put it, “This helps ensure that neither side is living in a fantasy!”) The power differential between grantmaker and intermediary argues for funders to model and explicitly encourage intermediaries in being transparent and clear.

The right relationship is deliberately designed to support each party’s success in attaining its goals. It is sustained by observance of agreements, with mutually acceptable modifications made as needed. The right relationship can be outsourced, autonomous, partnership — or other. The point is to deliberately create and work the relationship preferred by grantmaker and intermediary.



STEP-BY-STEP RELATIONSHIP BUILDING

Intermediaries say the single greatest impediment to their effectiveness is poor relationships with grantmakers. How do grantmakers form and support strong relationships? The following is a summary (with links to helpful resources):

STEP 1: Determine whether you should engage an intermediary.

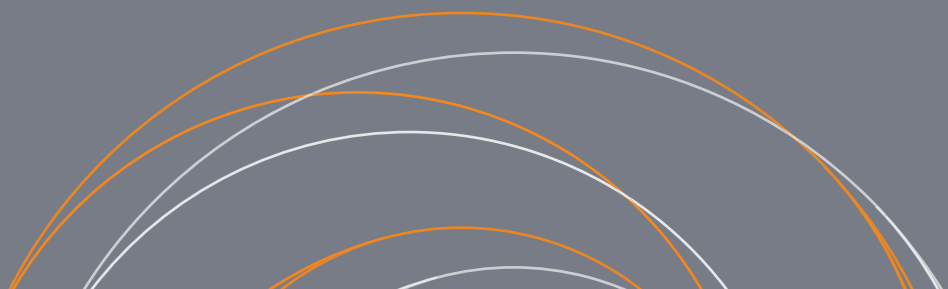
Identify and prepare to manage tradeoffs: the positives (such as enabling more external grantmaking via regranting) and negatives (decreased grantmaker contact with the

Resource: Checklist, pp. 40 – 41 in [“Toward More Effective Use of Intermediaries”](#)

STEP 2: Define your needs, goals and preferences for working with an intermediary.

Do you want to outsource a set of grants, work with an expert to develop a strategic program or explore and engage in an ambitious new initiative? Clearly define what is needed and wanted by your institution and the extent of your own capacity.

Resource: Questions to help define the intermediary’s task, p. 41 in [“Toward More Effective Use of Intermediaries”](#)



STEP 3: Begin due diligence. Ensure organizational alignment between grantmaker and intermediary. Confirm the intermediary has the skills, resources, standing, and facility to carry out the task/s and represent the grantmaker or its goals. Be mindful of the potential for the intermediary to burnish or tarnish the grantmaker's reputation. Public perception that an intermediary acts for the foundation heightens the importance of a good match for many funders.

Resource: List of what to look for in an intermediary, p. 13 – 15 in [“Partnering with Intermediaries”](#)

Resource: For international grantmaking intermediaries, a list of issues to consider, p. 18 of [“International Grantmaking Intermediaries”](#)

STEP 4: Meet and talk with intermediary, to create shared understanding and a formal agreement – or move on. Gather and provide information. Ask and answer questions. If in alignment, formalize a mutually acceptable agreement to guide the work of the relationship. Include: a definition of the work; strategy; schedule; goals and impact; how you will learn from the intermediary's work (if pertinent); nature, structure, and frequency of communication; evaluation measures; exit plan; your relationship, if any, with intermediary grantees; your engagement with other grantmakers, if any, involved in the project; and how unexpected problems and opportunities should be addressed.

Resource: List of issues to raise with an intermediary, p. 43 of [“Toward More Effective Use of Intermediaries”](#). Note that discussion requires going beyond “instructions and guidance.”

Resource: to help prepare less experienced intermediaries for discussion, refer them to pp.15 – 23 of [“Intermediate Development Series: Establishing Partnerships”](#)

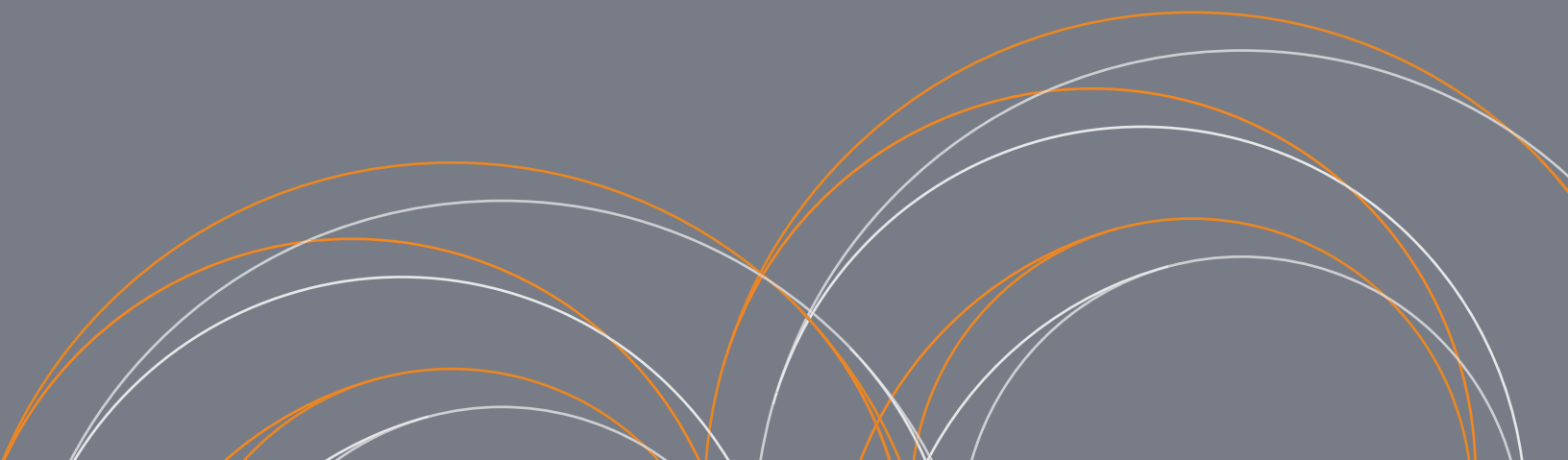
STEP 5: Stick to the agreement during execution. Listen to feedback. Monitor, communicate, and learn. The agreement serves as the rules of engagement of the partnership during implementation. For longer relationships, build in a way to periodically revisit various agreements, and expectations – what's set at first won't hold forever. The agreement is altered as needed, by mutual agreement, to allow each party to fill its role and meet its responsibilities. Changes in staffing or organizational priorities can sorely test agreements. Reviewing them shortly after transitions can facilitate continuity, clarify challenges, and focus problem-solving.

STEP 6: Review, then renew or conclude. Consider developing feedback mechanisms from the field to assess the intermediary's work from other perspectives.

Resource: Suggestions for evaluating intermediaries, p. 44, of "[Toward More Effective Use of Intermediaries](#)"

ADDITIONAL RESOURCES

An annotated bibliography of publications that provide practical guidance to grantmakers, advice on international funding via intermediaries and a look at some intermediaries can be found at www.geofunders.org.



MOVING FORWARD — IMPROVING YOUR INTERMEDIARY RELATIONSHIP

“It is hard to appreciate how difficult it is to build a shared understanding — it seems like it should be easy, but one always over the assumptions that you didn’t even know you were making — GEO survey respondent

The only way to avoid assumptions is to ask questions — many and often! Grantmakers who have highly successful relationships with intermediary organizations ask questions of themselves and their intermediary colleagues.



You might use the following questions as conversation starters. They can be used at the beginning of a relationship (minus question number 5) or can be modified to serve as a midcourse assessment.

1. When your organization has served as an intermediary for a(nother) grantmaker, what has the grantmaker done that helped you do your very best regranting? How did this experience characterized the ways you worked together?
2. When you've had more difficult experiences, what has gotten in the way?
3. How might you advise a grantmaker just beginning to work with intermediary organizations to best design fruitful relationships?
4. What advice do you have about how to maintain relationships, particularly for collaborative efforts?
5. How would you rank the working relationship between your organization and the grantmaker on a scale of one (a sad state of affairs) to four (very effective)? If our relationship is not a four, how might we move to that rank?

"It's easy to jump the rails when the relationship and trust aren't there." — David Wertheimer, Gates Foundation

The key to success in grantmaker-intermediary relationships is no different, in basic principles, from success in relationships with other grantees or co-funders. But the stakes are high. Grantmakers need to make the time and effort to be intentional and invest in the relationship that is right every time.



Grantmakers for Effective Organizations
1725 DeSales St. NW, Suite 404
Washington, DC 20036
Tel: 202.898.1840
Fax: 202.898.0318
Web: www.geofunders.org

Grantmakers for Effective Organizations is a community of more than 400 grantmakers who are challenged in their field to help grantees achieve more. Understanding that grantmakers are successful only to the extent that their grantees achieve meaningful results, GEO promotes strategies and practices that contribute to success. More information about GEO and resources for grantmakers are available at www.geofunders.org

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